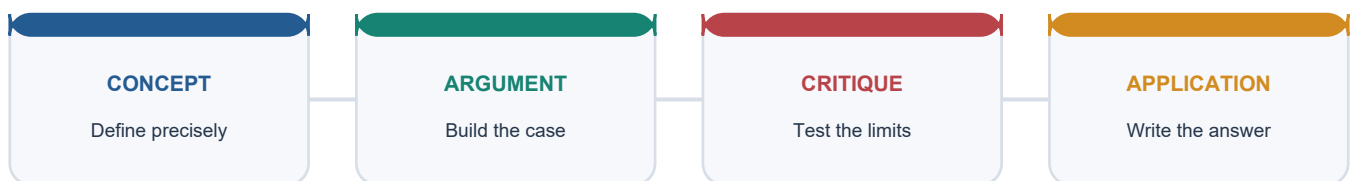


COMPLETE LEARNING SESSION

NPAs, Basel Norms, Resolution and Financial Inclusion - Complete Learning Session

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / SESSION INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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NPAs, Basel Norms, Resolution and Financial Inclusion - Complete Learning Session

Subject: Economy | **UPSC:** Prelims and GS-III | **Current-source cutoff:** 9 September 2026

SOURCE, STATUS AND DATE CONTROL

Source layer	Material checked	What it controls
Canonical Economy Markdown	upsc- ai- kit\ knowledge\ Economy\ basic\ 06_ NPAs- Basel- Norms- Resolution- and- Financial- Inclusion.md; complete Topic 6 package owner	Core syllabus, definitions, reform sequence and routed PYQ ownership
Optional Advanced Markdown	upsc- ai- kit\ knowledge\ Economy\ advanced\ 06_ NPAs- Basel- Norms- Resolution- and- Financial- Inclusion.md	Advanced prudential, incentive and inclusion analysis, kept separate
OCR-searchable local material	Ramesh Singh Economy reference; <i>Economic Survey 2025-26</i> banking chapter/reference	NPA cycle, reform history, balance-sheet transmission and inclusion context
RBI prudential sources	Commercial Banks IRACP Directions, 2025, updated 1 July 2026; Commercial Banks Resolution of Stressed Assets Directions, 2025, updated 1 July 2026; Basel III Master Circular dated 1 April 2025; leverage, LCR, NSFR and PCA notifications	Recognition, provisioning, restructuring, capital, liquidity and supervisory thresholds
Recovery and insolvency law	SARFAESI Act, 2002; Recovery of Debts and Bankruptcy Act, 1993; Insolvency and Bankruptcy Code, 2016; IBBI legal framework	Secured enforcement, tribunal recovery, collective insolvency, moratorium, CoC and liquidation boundaries
Inclusion and conduct sources	RBI BSBD amendment dated 4 December 2025, effective 1 April 2026; PSL Directions effective 1 April 2025; DFS PMJDY and PMMY pages; NABARD SHG-Bank Linkage material	Accounts, agents, directed credit, micro-enterprise and group-credit architecture
Current institutional sources	RBI ARC Directions, 2024 updated 23 April 2025; RBI wilful-defaulter directions dated 30 July 2024; RBI fraud directions dated 15 July 2024; DFS Annual Report 2024-25; DICGC FAQ	ARC/SR governance, NARCL-IDRCL status, conduct classifications and the boundary between bank repair and depositor insurance

Current-source cutoff: 9 September 2026. Current ratios, eligibility rules, thresholds and frameworks carry their source date. Volatile recovery totals and undated performance claims are deliberately omitted.

OFFICIAL LINKS CHECKED

- RBI Commercial Banks IRACP Directions, 2025, updated 1 July 2026
- RBI Commercial Banks Resolution of Stressed Assets Directions, 2025, updated 1 July 2026
- RBI Basel III Capital Regulations Master Circular, 1 April 2025
- RBI leverage-ratio circular, 28 June 2019
- RBI NSFR implementation circular, 5 February 2021
- RBI PCA framework, 2 November 2021
- RBI ARC Directions, 2024, updated 23 April 2025
- RBI Wilful Defaulters Directions, 30 July 2024
- RBI Fraud Risk Management Directions, 15 July 2024
- RBI BSBD amendment, 4 December 2025

- RBI FI-Index release for March 2025, 22 July 2025
- DICGC FAQ - insured-deposit boundary
- DICGC FAQ - insured-deposit boundary
- India Code - SARFAESI Act, 2002
- India Code - Recovery of Debts and Bankruptcy Act, 1993
- IBBI - Insolvency and Bankruptcy Code and legal framework
- DFS - PMJDY
- DFS - PMMY

LEARNING CONTRACT

Control	Rule used here
Visual first	Every Core session opens with a topic-specific map, timeline, balance sheet or decision tree.
Recognition discipline	Default, overdue, out-of-order, NPA, restructuring, fraud and wilful default remain different tests.
Regulatory precision	Basel global standards, RBI India minima, supervision, recovery and insolvency are never conflated.
Answer method	Every session demonstrates a unique Claim -> named evidence -> analysis -> qualification paragraph.
Topic boundary	Bank/NBFC licences stay in Topic 5; detailed fintech market structure stays in Topic 24.

BASIC LEARNING SESSION

SESSION 1 - NPA recognition: overdue, out-of-order and product-specific tests

VISUAL FIRST

```

CREDIT FACILITY
|-- term loan: principal/interest overdue > 90 days
|-- CC/OD: out of order for 90 days
|   |-- continuously above limit/drawing power; OR
|   |-- no credits; OR credits cannot cover 90-day interest
|-- bills purchased/discounted: overdue > 90 days
`-- agriculture: two crop seasons (short crop) / one (long crop)
    |
    v
    NPA RECOGNITION -> income stops accruing on unrealised basis
  
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Under RBI's Commercial Banks IRACP Directions, 2025, updated 1 July 2026, an NPA is an asset that has ceased to generate income. Overdue means unpaid on the due date; out of order is the separate CC/OD test.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

NPA recognition is a rule-based accounting event, not a moral judgment on the borrower: the trigger changes with the credit product and must be applied before policy inference.

MUST-WRITE KEYWORDS

- IRACP
- overdue
- out of order

- 90 days
- crop season
- borrower-wise classification
- income reversal

CORE EXPLANATION

A term-loan instalment becomes overdue on its contractual due date and the loan becomes NPA when principal or interest remains overdue for more than 90 days. A cash-credit or overdraft account uses the out-of-order test, including continuous excess over limit or drawing power, absence of credits for 90 days, or credits insufficient to cover interest debited during the previous 90 days. Bills use the more-than-90-day overdue test. Agricultural advances use two crop seasons for short-duration crops and one crop season for long-duration crops. Classification is generally borrower-wise within the bank, not merely facility-wise. Security value does not ordinarily postpone recognition.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Recognition must follow the contractual facility rather than a vague perception of distress.
- **Named evidence:** RBI Commercial Banks IRACP Directions, 2025, updated 1 July 2026, separately define overdue and the three-part CC/OD out-of-order test.
- **Analysis:** Product-specific triggers prevent a working-capital account with no genuine turnover from appearing regular merely because it stays under a numerical limit.
- **Qualification:** Agricultural, derivative, project and other specified exposures have tailored rules; the 90-day term-loan shorthand is not universal.

EVIDENCE, PRELIMS TRAP AND MAINS USE

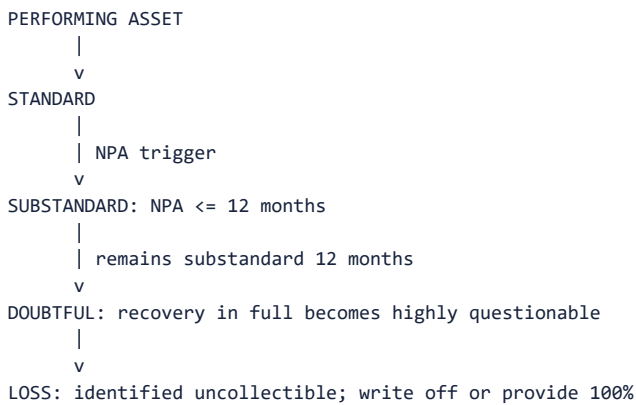
Exam tool	Topic-specific use
Evidence	RBI Commercial Banks IRACP Directions, 2025, updated 1 July 2026, separately define overdue and the three-part CC/OD out-of-order test.
Prelims trap	Overdue starts on the due date, but a term loan becomes NPA only after the prescribed overdue period; an OD/CC account is tested as out of order.
Mains use	Open with the recognition rule, then trace income reversal, provisioning, capital pressure and resolution.

MINI RECAP

- NPA is an objective prudential classification.
- Term loans and CC/OD accounts use different tests.
- Recognition generally follows the borrower across facilities in the same bank.

SESSION 2 - Asset classification: standard, substandard, doubtful and loss

VISUAL FIRST



Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Asset classification grades recognised credit impairment. Under the RBI directions updated 1 July 2026, substandard means NPA for up to twelve months; doubtful follows twelve months in substandard; loss means identified uncollectibility even if not wholly written off.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Asset classification is a ladder of deteriorating recoverability: passage of time matters, but identified loss and realistic security value matter independently.

MUST-WRITE KEYWORDS

- standard asset
- substandard
- doubtful
- loss asset
- security value
- ageing
- upgrade

CORE EXPLANATION

A standard asset does not disclose the normal problems associated with NPAs. Once the NPA trigger is met, a loan enters substandard status. Continued weakness moves it to doubtful, where provision on the secured portion rises with time while the uncovered portion is fully provided. A loss asset should be written off; if retained, it requires full provision. Upgradation is not achieved by a token payment: the 2025 Directions require payment of entire arrears of principal and interest across the borrower's facilities with that bank, subject to special restructuring rules.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Classification should reveal recoverability rather than preserve an optimistic book value.
- **Named evidence:** The RBI IRACP Directions updated 1 July 2026 define substandard, doubtful and loss assets and require objective, recovery-based classification.
- **Analysis:** A time-and-realisation ladder aligns reported profit and capital with the worsening probability and severity of loss.
- **Qualification:** Ageing alone does not make every asset a loss asset; an identified uncollectible exposure may be classified as loss even before a long ageing history.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The RBI IRACP Directions updated 1 July 2026 define substandard, doubtful and loss assets and require objective, recovery-based classification.
Prelims trap	Substandard and doubtful are both NPAs; loss asset does not mean that every rupee has already been written off.
Mains use	Use the ladder to show why delayed recognition overstates income and postpones recapitalisation.

MINI RECAP

- Standard is performing; the other three are NPA classes.
- Substandard lasts up to twelve months as NPA.
- Loss identification and accounting write-off are related but distinct.

SESSION 3 - GNPA, NNPA, provisioning, write-off and waiver

VISUAL FIRST

RECOGNISED BAD LOANS = GROSS NPA
|
| less provisions and permitted adjustments
v
UNPROVIDED STRESS = NET NPA

PROVISION -> charge against profit; asset remains
WRITE-OFF -> accounting removal; recovery may continue
WAIVER -> legal/policy relinquishment of borrower liability

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

GNPA measures recognised non-performing exposure before specified deductions; NNPA measures the residual after provisions and permitted adjustments. Provisioning, technical write-off and waiver have different accounting and legal effects.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

A lower net NPA can reflect stronger loss absorption without showing that the underlying borrower paid; therefore gross stock, provisions, write-offs and recoveries must be read together.

MUST-WRITE KEYWORDS

- **GNPA**
- **NNPA**
- **PCR**
- **provision**
- **technical write-off**
- **waiver**
- **cash recovery**

CORE EXPLANATION

The provisioning coverage ratio is provisions relative to gross NPAs. Under the RBI IRACP Directions updated 1 July 2026, loss assets require 100 per cent provision if not written off; doubtful assets require 100 per cent on the unsecured portion and 25, 40 or 100 per cent on the secured portion as doubtful ageing moves through up to one year, one-to-three years and over three years. A general 15 per cent provision applies to substandard assets; qualifying unsecured substandard exposure attracts 25 per cent. A technical write-off removes the exposure at bank-accounting level without waiving the claim at borrower level.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Reported asset quality improves durably only when recognition and loss absorption are separated from cosmetic balance-sheet reduction.
- **Named evidence:** RBI's 2025 IRACP Directions, updated 1 July 2026, define PCR and technical write-off and prescribe category-specific provisioning.
- **Analysis:** Provisioning reduces current profit and builds a loss buffer; write-off can reduce headline GNPA while recovery rights continue, so neither proves cash recovery.
- **Qualification:** Provisioning rates vary for specified exposures; use the general commercial-bank table only within its stated perimeter.

EVIDENCE, PRELIMS TRAP AND MAINS USE

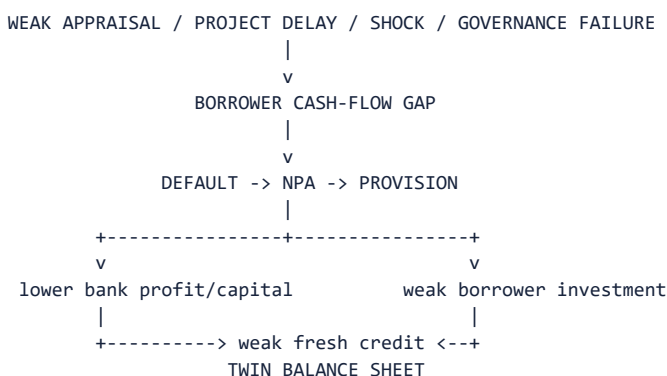
Exam tool	Topic-specific use
Evidence	RBI's 2025 IRACP Directions, updated 1 July 2026, define PCR and technical write-off and prescribe category-specific provisioning.
Prelims trap	Provision is not a cash reserve kept outside the bank, technical write-off is not waiver, and NNPA is not GNPA minus every provision in the accounts.
Mains use	Diagnose a falling NPA ratio through recoveries, upgrades, write-offs, sales and denominator growth before crediting one reform.

MINI RECAP

- GNPA is before specified deductions; NNPA is the uncovered residual.
- Provision affects profit and capital.
- Write-off need not extinguish borrower liability.

SESSION 4 - Why NPAs arise and how they damage credit transmission

VISUAL FIRST



Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

The NPA cycle is the interaction between borrower repayment failure, lender loss recognition and reduced capacity or willingness to extend new credit.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Bad loans are both a legacy stock and a flow problem: resolution cleans yesterday's balance sheet, but appraisal and governance determine whether tomorrow's stress is recreated.

MUST-WRITE KEYWORDS

- credit appraisal

- project delay
- leverage
- ICR
- Twin Balance Sheet
- capital erosion
- credit channel

CORE EXPLANATION

NPAs can arise from macroeconomic slowdown, commodity or exchange shocks, land and clearance delays, weak demand, over-optimistic projections, connected lending, diversion, fraud or poor monitoring. Interest Coverage Ratio compares earnings available for interest with interest expense; a value below one signals weak servicing capacity but is not the legal NPA test. The Economic Survey 2016-17's Twin Balance Sheet diagnosis linked over-leveraged corporates with stressed banks. Provisions depress profit, losses consume capital, management becomes risk-averse and viable firms can face reduced credit.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A banking NPA cycle can amplify a real-sector investment slowdown.
- **Named evidence:** The Economic Survey 2016-17 identified mutually reinforcing corporate leverage and bank stress as the Twin Balance Sheet problem.
- **Analysis:** Weak cash flows raise defaults; recognition and provisions reduce bank capital; constrained credit then slows investment and borrower recovery.
- **Qualification:** The diagnosis belongs to a historical episode and cannot substitute for current bank-level data or prove that every NPA resulted from corporate misconduct.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The Economic Survey 2016-17 identified mutually reinforcing corporate leverage and bank stress as the Twin Balance Sheet problem.
Prelims trap	ICR is a financial-stress indicator, not RBI's legal classification trigger; a fall in GNPA ratio may partly reflect a larger denominator.
Mains use	Build a causal chain from project economics to bank capital and aggregate credit, then add governance and macro-shock qualifications.

MINI RECAP

- NPAs have borrower, bank, governance and macro causes.
- ICR signals servicing capacity.
- Twin Balance Sheet is a diagnostic, not a statute.

SESSION 5 - Restructuring, forbearance and evergreening

VISUAL FIRST

```
BORROWER IN FINANCIAL DIFFICULTY
|
+--> viable + transparent concession
|   -> RESTRUCTURING
|   -> recognition/provisioning continues
|
+--> temporary system-wide shock
|   -> bounded FORBEARANCE
|
`--> fresh accommodation only to hide old default
    -> EVERGREENING -> delayed loss + zombie credit
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Restructuring grants a concession because of borrower financial difficulty; forbearance is regulatory relief from normal treatment; evergreening conceals stress through fresh or engineered finance without restoring viability.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The test is economic viability and transparent recognition, not the label restructured: genuine repair changes sustainable cash flows, while evergreening merely changes the appearance of repayment.

MUST-WRITE KEYWORDS

- restructuring
- financial difficulty
- concession
- forbearance
- evergreening
- viability
- satisfactory performance

CORE EXPLANATION

The RBI Commercial Banks Resolution of Stressed Assets Directions, 2025, updated 1 July 2026, define restructuring broadly to include changes in payment period, amount, instalments, interest, rollover or additional finance linked to difficulty. A standard account is generally downgraded to substandard on restructuring, and an NPA retains its class; upgrade requires satisfactory performance under the prescribed monitoring period. Temporary forbearance may prevent a transitory shock from causing needless failure, but repeated accommodation can capitalise unpaid interest and hide a non-viable borrower.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Restructuring is credible only when the prudential cost of recognising borrower weakness is not suspended indefinitely.
- **Named evidence:** RBI's current 2025 Resolution Directions preserve asset classification during plan preparation and specify downgrade and performance conditions after restructuring.
- **Analysis:** Recognition forces lenders to compare the present value of a viable plan with recovery or insolvency instead of refinancing solely to avoid an NPA.
- **Qualification:** Not every additional facility is evergreening; working capital or interim finance can preserve viable enterprise value when independently appraised and transparently monitored.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's current 2025 Resolution Directions preserve asset classification during plan preparation and specify downgrade and performance conditions after restructuring.
Prelims trap	Restructured does not mean fraud, but a restructure does not automatically keep a standard classification.
Mains use	Contrast temporary relief with permanent concealment through viability, provisioning, monitoring and governance tests.

MINI RECAP

- Restructuring changes contractual terms due to difficulty.
- Forbearance changes regulatory treatment temporarily.
- Evergreening hides rather than cures stress.

SESSION 6 - Risk-weighted assets and the capital-adequacy denominator

VISUAL FIRST

```
BANK EXPOSURES
|-- credit risk -> borrower/collateral/rating weights
|-- market risk -> trading-price and rate movements
`-- operational risk -> process, people, systems, external events
    |
    v
    RISK-WEIGHTED ASSETS (RWA)
    |
    v
CRAR = eligible regulatory capital / RWA x 100
not capital / total assets
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Risk-weighted assets convert different credit, market and operational exposures into a common prudential denominator; CRAR compares eligible regulatory capital with that denominator.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Basel capital is risk-sensitive rather than asset-counting: two banks of equal size can require different capital because their exposure mix and risk weights differ.

MUST-WRITE KEYWORDS

- **RWA**
- **credit risk**
- **market risk**
- **operational risk**
- **CRAR**
- **capital adequacy**
- **denominator**

CORE EXPLANATION

A sovereign exposure, a mortgage, an unrated corporate loan and a trading position need not receive identical risk treatment. Capital rules apply standardised or approved model methods to create RWA. CRAR then measures eligible capital divided by RWA. This protects solvency by forcing shareholders and qualifying instruments to absorb losses before depositors, but risk weights can be backward-looking, model-sensitive or vulnerable to optimisation. A zero or low risk weight does not mean zero economic risk.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The denominator is as important as the capital numerator.
- **Named evidence:** The Basel framework and RBI's 1 April 2025 Master Circular organise minimum capital around credit, market and operational RWA.
- **Analysis:** If measured risk falls without a genuine reduction in exposure, a bank can report a stronger ratio without adding loss-absorbing capital.
- **Qualification:** Risk-weighting improves sensitivity but needs leverage, concentration, stress-testing and supervisory backstops.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The Basel framework and RBI's 1 April 2025 Master Circular organise minimum capital around credit, market and operational RWA.
Prelims trap	CRAR is not capital divided by total assets, and a high ratio can result from lower RWA as well as higher capital.
Mains use	Explain both numerator quality and denominator measurement before evaluating recapitalisation or regulatory relief.

MINI RECAP

- RWA weights exposures by regulatory risk.
- CRAR uses RWA, not total assets.
- Risk weights need non-risk-based and supervisory checks.

SESSION 7 - Basel I, II and III: evolution and three pillars

VISUAL FIRST

BASEL I (1988)
credit-risk capital floor
|
v
BASEL II
Pillar 1: minimum capital
Pillar 2: supervisory review
Pillar 3: disclosure/market discipline
|
v
BASEL III
better capital quality + buffers + leverage + liquidity
response to crisis lessons, not a world banking licence

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

The Basel accords are international supervisory standards developed by the Basel Committee on Banking Supervision; national authorities implement them through domestic law and regulation.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Basel evolved from a simple capital floor to a multi-layered resilience architecture, but implementation remains national and supervision cannot be outsourced to a ratio.

MUST-WRITE KEYWORDS

- **BCBS**
- **Basel I**
- **Basel II**
- **Basel III**

- Pillar 1
- Pillar 2
- Pillar 3

CORE EXPLANATION

Basel I concentrated on credit-risk capital. Basel II made capital more risk-sensitive and organised regulation around minimum requirements, supervisory review and market discipline. Basel III responded to the global financial crisis by improving the quality of capital, introducing conservation and countercyclical buffers, adding a leverage backstop and establishing liquidity standards. The Basel Committee does not license Indian banks or directly enforce Indian law; RBI applies the framework to the covered domestic perimeter.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Basel III supplements rather than replaces supervision.
- **Named evidence:** BCBS standards combine minimum capital, supervisory review and disclosure, while RBI's dated circular specifies their Indian application.
- **Analysis:** Capital absorbs unexpected loss, disclosure supports discipline and supervisors address risks that formulas or markets miss.
- **Qualification:** International minima are floors, not identical national requirements, and differentiated Indian bank categories may follow separate directions.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	BCBS standards combine minimum capital, supervisory review and disclosure, while RBI's dated circular specifies their Indian application.
Prelims trap	Pillar 2 is supervisory review, not market disclosure; Pillar 3 is disclosure, not deposit insurance.
Mains use	Use the evolution to explain why post-crisis reform added capital quality, buffers, leverage and liquidity to risk-weighted minima.

MINI RECAP

- Basel is a standard-setting framework.
- Basel II established three pillars.
- Basel III strengthened capital and liquidity resilience.

SESSION 8 - CET1, AT1, Tier 2, buffers and India's dated capital minima

VISUAL FIRST

LOSS-ABSORPTION QUALITY

highest

CET1: common equity + disclosed reserves - deductions

|

AT1: perpetual going-concern instruments

|

TIER 2: gone-concern/subordinated instruments

lowest

RBI SCB perimeter, Master Circular 01-04-2025

CET1 5.5% | Tier 1 7% | Total CRAR 9% | CCB 2.5% CET1

Effective with full CCB: CET1 8% | Total 11.5%

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

CET1 is the highest-quality going-concern capital; Additional Tier 1 is subordinated perpetual going-concern capital; Tier 2 provides lower-ranking gone-concern loss absorption. Buffers sit above minimum requirements.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Capital adequacy is not merely more capital: its quality, permanence, subordination, trigger features and position in the loss hierarchy determine whether it works in stress.

MUST-WRITE KEYWORDS

- CET1
- AT1
- Tier 2
- going concern
- gone concern
- CCB
- CCyB
- D-SIB surcharge

CORE EXPLANATION

For scheduled commercial banks covered by RBI's Basel III Master Circular dated 1 April 2025, the standalone minima are CET1 5.5 per cent, Tier 1 capital 7 per cent and total CRAR 9 per cent, each as a share of RWA and before the Capital Conservation Buffer. The fully phased CCB is 2.5 per cent in CET1, producing effective CET1 of 8 per cent and total capital of 11.5 per cent. India has a Countercyclical Capital Buffer framework up to 2.5 per cent, but RBI had not activated it in that circular. Applicable D-SIB surcharges are additional and bank-specific.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The quality of capital determines how early it can absorb loss.
- **Named evidence:** RBI's Basel III Master Circular dated 1 April 2025 places common equity at the core and specifies higher Indian minima than the Basel global floors.
- **Analysis:** CET1 absorbs losses while a bank remains operating; lower-ranking instruments add capacity but their contractual triggers and hierarchy matter.
- **Qualification:** These figures apply to the circular's stated SCB perimeter, excluding SFBs, Payments Banks and RRBs, which follow category-specific requirements.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's Basel III Master Circular dated 1 April 2025 places common equity at the core and specifies higher Indian minima than the Basel global floors.
Prelims trap	The Basel global 8 per cent total floor is not India's 9 per cent standalone CRAR, and CCB must not be silently counted twice.
Mains use	Separate minimum capital, conservation buffer, countercyclical buffer and systemic surcharge before judging resilience.

MINI RECAP

- CET1 is the strongest capital layer.
- India's dated standalone CRAR minimum is 9%.
- The 2.5% CCB is met with CET1.

SESSION 9 - Leverage Ratio, LCR and NSFR: three non-identical safeguards

VISUAL FIRST

SOLVENCY AND LIQUIDITY BACKSTOPS

Leverage Ratio = Tier 1 capital / exposure measure
-> non-risk-weighted balance-sheet backstop

LCR = stock of HQLA / 30-day net cash outflows $\geq 100\%$
-> short stress survival

NSFR = available stable funding / required stable funding $\geq 100\%$
-> one-year structural funding discipline

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

The leverage ratio constrains total exposure without risk weights; the Liquidity Coverage Ratio tests a 30-day stress buffer; the Net Stable Funding Ratio tests stable funding over a one-year horizon.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Capital protects against loss, while liquidity protects against timing failure; a solvent bank can be illiquid and a liquid bank can still be insolvent.

MUST-WRITE KEYWORDS

- leverage ratio
- exposure measure
- HQLA
- LCR
- 30 days
- NSFR
- stable funding

CORE EXPLANATION

RBI's leverage circular dated 28 June 2019, effective from the quarter beginning 1 October 2019, set minimum leverage ratios of 4 per cent for domestic systemically important banks and 3.5 per cent for other covered banks. LCR reached 100 per cent from 1 January 2019 and requires high-quality liquid assets against stressed net cash outflows over 30 days. NSFR has required at least 100 per cent on an ongoing basis from 1 October 2021 and compares available with required stable funding over a one-year horizon. These ratios answer different questions and have defined perimeters.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A complete prudential architecture needs both risk-sensitive and non-risk-sensitive constraints.
- **Named evidence:** RBI's dated leverage, LCR and NSFR instructions impose separate exposure, short-liquidity and structural-funding tests.
- **Analysis:** The leverage ratio checks underestimated risk weights; LCR limits acute runs; NSFR discourages financing long assets with unstable short funding.
- **Qualification:** Meeting all three minima does not eliminate concentration, asset-quality, operational or governance risk.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's dated leverage, LCR and NSFR instructions impose separate exposure, short-liquidity and structural-funding tests.
Prelims trap	LCR is not a capital ratio, NSFR is not a 30-day measure, and leverage ratio does not use RWA in its denominator.
Mains use	Use the solvency-liquidity distinction to explain why recapitalisation cannot by itself cure a funding run.

MINI RECAP

- Leverage is a non-risk-weighted backstop.
- LCR covers 30-day stress.
- NSFR addresses one-year funding structure.

SESSION 10 - AQR, SMA, early warning and Prompt Corrective Action

VISUAL FIRST

EARLY WARNING

SMA-0: up to 30 days overdue

SMA-1: >30 to 60 days

SMA-2: >60 to 90 days

|

v

AQR / supervision -> honest classification

|

v

PCA: capital + NNPA + leverage triggers

|

v

mandatory/discretionary restrictions -> restoration plan

NOT automatic closure or DICGC payout

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

SMA identifies incipient repayment stress before NPA. AQR tests classification consistency. PCA is a supervisory intervention framework for weak banks, not an insolvency or insurance process.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Supervision is most effective before insolvency: early-warning data, asset-quality review and graduated restrictions reduce the chance that hidden loss becomes a disorderly failure.

MUST-WRITE KEYWORDS

- SMA-0
- SMA-1
- SMA-2
- CRILC
- AQR
- PCA
- NNPA
- leverage

CORE EXPLANATION

The Commercial Banks Resolution Directions updated 1 July 2026 classify non-revolving loans as SMA-0 up to 30 days overdue, SMA-1 above 30 and up to 60, and SMA-2 above 60 and up to 90; revolving facilities use corresponding excess-over-limit periods. AQR is a supervisory examination, not a bailout. RBI's revised PCA circular dated 2 November 2021, effective 1 January 2022, monitors capital, NNPA and leverage; its NNPA risk thresholds begin at 6, 9 and 12 per cent. It can constrain dividends, expansion, risky exposures or costs while requiring corrective action. DICGC protects eligible depositors within its statutory insurance perimeter; it does not provision an NPA, recapitalise a weak bank or substitute for RBI supervision.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Early recognition can worsen reported numbers while improving the credibility of the repair.
- **Named evidence:** RBI's SMA ladder and PCA framework intervene before or around severe deterioration rather than waiting for liquidation.
- **Analysis:** Transparent recognition prevents loss accumulation and gives supervisors time to restrict risk-taking, rebuild capital and improve recovery.
- **Qualification:** PCA is not automatic closure, and the 2021 SCB framework excludes SFBs, Payments Banks and RRBs.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's SMA ladder and PCA framework intervene before or around severe deterioration rather than waiting for liquidation.
Prelims trap	SMA is not NPA, AQR does not create the economic loss, and PCA is not a resolution statute.
Mains use	Sequence early warning, recognition, supervisory correction and-only if needed-resolution.

MINI RECAP

- SMA precedes the usual NPA threshold.
- AQR tests recognition quality.
- PCA is preventive and corrective supervision.

SESSION 11 - Current RBI stressed-asset resolution framework

VISUAL FIRST

```
DEFAULT / CREDIT EVENT
|
v
30-DAY REVIEW PERIOD
|
+--> regularise / sell exposure / change ownership
+--> restructure
`--> insolvency or recovery proceeding
|
MULTIPLE SPECIFIED LENDERS -> ICA
75% by value + 60% by number binds signatories
|
v
RP implementation; classification continues; delay adds provision
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

A resolution plan is a documented response to stress that may regularise, sell, restructure or change ownership. The Review Period and inter-creditor agreement organise time-bound collective lender action.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The current RBI framework tries to make delay expensive: lenders may choose the resolution route, but cannot suspend classification while negotiating it.

MUST-WRITE KEYWORDS

- **default**
- **credit event**
- **Review Period**
- **ICA**
- **75% by value**
- **60% by number**
- **RP4**
- **additional provision**

CORE EXPLANATION

RBI's Commercial Banks Resolution of Stressed Assets Directions, 2025, updated 1 July 2026, use a 30-day Review Period. For multi-lender cases, the ICA makes decisions supported by 75 per cent by value and 60 per cent by number binding on signatories, while dissenters must receive at least liquidation value. For restructuring or change in ownership, aggregate specified-lender exposure of Rs 100 crore or more requires independent credit evaluation; Rs 500 crore or more requires two evaluations, and RP4 or better is necessary. For covered accounts, delay beyond 180 days from the Review Period adds 20 per cent provision; 365 days from Review Period commencement adds another 15 per cent.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Collective-action rules are effective only when accompanied by continuing recognition and a cost for delay.
- **Named evidence:** The 2025 RBI Resolution Directions updated 1 July 2026 combine the 30-day review, ICA voting, independent evaluation and additional-provisioning clocks.
- **Analysis:** Majority rules reduce holdouts, while liquidation-value protection and provisioning penalties discipline coercive or endlessly delayed plans.
- **Qualification:** The thresholds and consequences apply within the Directions' stated lender, borrower and exposure perimeter; an ICA is contractual, not a tribunal.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The 2025 RBI Resolution Directions updated 1 July 2026 combine the 30-day review, ICA voting, independent evaluation and additional-provisioning clocks.
Prelims trap	A plan under discussion does not freeze asset classification, and ICA approval is not IBC CoC approval.
Mains use	Compare RBI's out-of-court prudential route with SARFAESI enforcement and IBC collective insolvency.

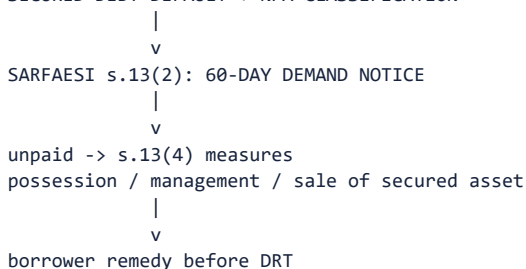
MINI RECAP

- Review Period is 30 days.
- ICA uses 75% by value and 60% by number.
- Delayed implementation can require additional provision.

SESSION 12 - SARFAESI: secured-creditor enforcement

VISUAL FIRST

SECURED DEBT DEFAULT + NPA CLASSIFICATION



NOT: unsecured universal recovery | NOT: corporate rescue plan

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

The Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 enables eligible secured creditors, after statutory process, to enforce security interests without first obtaining an ordinary civil-court decree.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

SARFAESI strengthens the value of collateral, but it is a secured-asset enforcement law rather than a complete insolvency system.

MUST-WRITE KEYWORDS

- SARFAESI
- secured creditor
- section 13(2)
- 60-day notice
- section 13(4)
- possession
- DRT remedy

CORE EXPLANATION

After a qualifying default and NPA classification, section 13(2) permits a secured creditor to demand full discharge within 60 days. If the borrower does not comply, section 13(4) permits specified enforcement measures such as taking possession and sale. The borrower can challenge measures before the DRT under the statutory route. SARFAESI is powerful where security is valid, enforceable and valuable; it is less suited to preserving a complex going concern with many classes of creditors.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Strong collateral enforcement can reduce strategic delay and improve expected recovery.
- **Named evidence:** SARFAESI Act, 2002, section 13 links a 60-day notice to specified enforcement measures without an initial civil decree.
- **Analysis:** Credible enforcement raises the cost of non-payment and can accelerate settlement or asset sale.
- **Qualification:** The Act contains exclusions, procedural safeguards and remedies; it neither covers every debt nor guarantees value realisation.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	SARFAESI Act, 2002, section 13 links a 60-day notice to specified enforcement measures without an initial civil decree.
Prelims trap	Without court intervention does not mean without statutory notice, borrower remedy or tribunal oversight.
Mains use	Place SARFAESI under recovery of secured claims, then contrast it with enterprise-wide IBC resolution.

MINI RECAP

- SARFAESI centres on security interests.
- Section 13(2) uses a 60-day notice.
- DRT provides the borrower challenge route.

SESSION 13 - RDB Act, DRTs, ARCs and Security Receipts

VISUAL FIRST

TWO DISTINCT ROUTES

RDB Act 1993 -> DRT adjudicates bank/FI debt -> recovery certificate

Bank/NBFC stressed loan -> transfer under RBI loan-transfer rules

- > ARC registered under SARFAESI
- > reconstruction/recovery
- > Security Receipts represent undivided interest in asset pool

TRANSFER CHANGES HOLDER; IT DOES NOT ERASE LOSS

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

DRTs are specialised adjudicatory forums under the Recovery of Debts and Bankruptcy Act, 1993. ARCs are RBI-registered resolution entities under SARFAESI; Security Receipts represent an investor's undivided interest in acquired financial assets.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Recovery forums determine and enforce claims, whereas asset reconstruction changes who manages the stressed exposure; neither mechanism automatically restores enterprise value.

MUST-WRITE KEYWORDS

- RDB Act
- DRT
- DRAT
- ARC
- SARFAESI section 3
- Security Receipt
- qualified buyer

CORE EXPLANATION

The RDB Act creates DRTs and Debt Recovery Appellate Tribunals for expeditious adjudication and recovery of bank and financial-institution debt. An ARC acquires financial assets and applies permitted reconstruction or recovery measures. Under the RBI ARC Directions, 2024, updated 23 April 2025, governance, minimum capital, asset acquisition, resolution and Security Receipt disclosure are regulated. SR value depends on realisation from the underlying pool; it is not a sovereign bank deposit or a guaranteed bond unless a separate guarantee specifically applies.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Specialisation can improve recovery only if transfer pricing, incentives and information remain credible.
- **Named evidence:** The RDB Act, SARFAESI and RBI's ARC Directions assign different adjudication, acquisition and disclosure functions.
- **Analysis:** An ARC can aggregate expertise and separate legacy assets from new lending, while DRT adjudication provides an enforceable recovery certificate.
- **Qualification:** Selling a loan may crystallise or redistribute loss, and conflicted valuation or slow enforcement can preserve the original problem in another vehicle.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The RDB Act, SARFAESI and RBI's ARC Directions assign different adjudication, acquisition and disclosure functions.
Prelims trap	A DRT is not the NCLT, an ARC is not every bad bank, and a Security Receipt is not deposit insurance.
Mains use	Use institution-function matching: DRT adjudicates debt, ARC manages transferred stress, and IBC resolves insolvency collectively.

MINI RECAP

- RDB Act establishes DRT recovery.
- ARCs acquire and reconstruct financial assets.
- SR repayment depends on underlying recovery.

SESSION 14 - IBC institutions, admission and moratorium

VISUAL FIRST

```
DEFAULT + ELIGIBLE APPLICATION
      |
      v
NCLT ADMITS CORPORATE INSOLVENCY
      |
      +--> section 14 moratorium
      +--> Interim/Resolution Professional
      +--> claims + information memorandum
      +--> Committee of Creditors
```

IBBI regulates ecosystem | Information Utility authenticates records
ADMISSION != FINAL RESOLUTION

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

The Insolvency and Bankruptcy Code, 2016 creates a collective corporate insolvency resolution process before the NCLT, supervised through an insolvency professional and creditor committee within an IBBI-regulated ecosystem.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

IBC changes the objective from isolated recovery to collective value maximisation: control shifts from the debtor's incumbent management to a creditor-supervised process after admission.

MUST-WRITE KEYWORDS

- IBC 2016
- NCLT
- IBBI
- insolvency professional
- information utility
- section 14
- moratorium

CORE EXPLANATION

Admission begins CIRP and triggers section 14's moratorium against specified proceedings, enforcement and transfers concerning the corporate debtor. The interim resolution professional takes custody/control functions defined by the Code, receives claims and constitutes the CoC. IBBI regulates insolvency professionals, agencies, information utilities and process regulations; it does not decide an individual corporate case. The moratorium creates a calm period for collective decision, but it is not debt forgiveness and contains statutory boundaries.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A moratorium can preserve going-concern value by stopping a destructive creditor race.
- **Named evidence:** IBC sections 13-14 link CIRP admission to the moratorium, while the Code assigns adjudication to NCLT and ecosystem regulation to IBBI.
- **Analysis:** Pausing individual enforcement allows information gathering and coordinated comparison of resolution plans with liquidation.
- **Qualification:** Moratorium protection is defined by statute and does not immunise every person, asset, guarantor or proceeding associated with the debtor.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	IBC sections 13-14 link CIRP admission to the moratorium, while the Code assigns adjudication to NCLT and ecosystem regulation to IBBI.
Prelims trap	IBBI is the regulator, NCLT is the adjudicating authority, and admission is not proof that a resolution plan will succeed.
Mains use	Explain the institutional sequence before discussing timelines, haircuts or recovery outcomes.

MINI RECAP

- IBC is collective insolvency, not one-lender recovery.
- Section 14 creates a bounded moratorium.
- NCLT and IBBI perform different functions.

SESSION 15 - Committee of Creditors, resolution plan and liquidation

VISUAL FIRST

CoC: FINANCIAL CREDITORS, VOTES BY DEBT SHARE

evaluate feasibility + viability
|
>=66% voting share approves plan

v

NCLT legality check -> binding approved resolution

NO APPROVED PLAN / statutory trigger / >=66% liquidation decision
-> LIQUIDATION + section 53 waterfall

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

The Committee of Creditors is the principal commercial decision body in corporate CIRP. It chooses between compliant resolution and liquidation within the statutory framework; NCLT checks legal compliance rather than substituting its own business bargain.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

IBC is creditor-in-control but not creditor-absolutist: commercial choice operates inside statutory voting, process, distribution and judicial-review boundaries.

MUST-WRITE KEYWORDS

- CoC
- voting share
- 66%
- section 30(4)

- section 31
- section 33
- liquidation
- section 53

CORE EXPLANATION

A resolution professional manages process, but the CoC evaluates plans. Section 30(4) requires at least 66 per cent of voting share to approve a plan after considering feasibility and viability; NCLT approval under section 31 makes a compliant plan binding. Liquidation follows specified triggers, including failure to approve a plan or a qualifying CoC decision. Liquidation distributes realised value through section 53's statutory waterfall. A haircut is the difference between admitted claim and distribution, not by itself proof that resolution failed; time, liquidation value and going-concern value matter.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Creditor control solves coordination problems but must preserve process legitimacy and enterprise-value comparison.
- **Named evidence:** IBC sections 30, 31 and 33 set the 66 per cent plan threshold, adjudicatory approval and liquidation triggers.
- **Analysis:** Concentrated decision rights can overcome holdouts, but voting share may privilege financial claims over diffuse worker, supplier or community interests.
- **Qualification:** CoC commercial wisdom is broad, not lawless; statutory compliance, fair treatment within the Code and limited judicial review remain.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	IBC sections 30, 31 and 33 set the 66 per cent plan threshold, adjudicatory approval and liquidation triggers.
Prelims trap	The CoC does not itself grant final legal approval, and liquidation is an alternative under the Code rather than the definition of insolvency resolution.
Mains use	Evaluate IBC through time, value, control, distribution and institutional capacity rather than only a recovery percentage.

MINI RECAP

- CoC votes by financial-debt share.
- Plan approval needs at least 66%.
- NCLT approval and liquidation waterfall are separate stages.

SESSION 16 - Personal guarantors: bounded IBC cross-link

VISUAL FIRST

CORPORATE DEBTOR + PERSONAL GUARANTEE

|
corporate insolvency/liquidation before NCLT
|
v

IBC s.60 aligns personal-guarantor forum with NCLT
Part III provisions operational from 01-12-2019

GUARANTEE LIABILITY != automatic corporate moratorium extension
resolution plan treatment depends on law and guarantee terms

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

A personal guarantor promises personal performance of a corporate debtor's obligation. Specified IBC Part III provisions for personal guarantors to corporate debtors came into force on 1 December 2019.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The guarantor route supports coordinated insolvency, but corporate and personal estates remain legally distinct and must not be collapsed into one moratorium.

MUST-WRITE KEYWORDS

- personal guarantor
- corporate debtor
- section 60
- NCLT
- Part III
- 1 December 2019
- co-extensive liability

CORE EXPLANATION

The Central Government notification dated 15 November 2019 brought specified personal-guarantor provisions into force from 1 December 2019. Section 60 aligns jurisdiction with the NCLT handling the corporate debtor. A guarantee creates a separate contractual obligation, commonly co-extensive unless the contract provides otherwise. Proceedings and moratoria must be read under the provisions applicable to the particular debtor; the corporate debtor's section 14 moratorium does not automatically become a blanket shield for every guarantor.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Forum coordination need not erase the separate legal personality and liability of the guarantor.
- **Named evidence:** The 15 November 2019 commencement notification and IBC section 60 create the bounded personal-guarantor route.
- **Analysis:** A common forum can improve information and coordination across linked liabilities while preserving separate claims and processes.
- **Qualification:** Detailed guarantor discharge, subrogation and plan effects depend on statutory provisions, contract and case law and should not be reduced to one universal rule.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The 15 November 2019 commencement notification and IBC section 60 create the bounded personal-guarantor route.
Prelims trap	Personal-guarantor proceedings are not the same as corporate CIRP, and a corporate moratorium is not automatically a guarantor moratorium.
Mains use	Use this only as a bounded extension of creditor coordination, not as a substitute for the corporate-resolution core.

MINI RECAP

- The route became operational on 1 December 2019.
- Section 60 aligns the forum.
- Corporate and guarantor moratoria are not identical.

SESSION 17 - NARCL-IDRCL: the Indian bad-bank architecture

VISUAL FIRST

SELLING BANKS

|

| transfer identified stressed asset

v

NARCL: RBI-registered ARC / asset acquirer

|

| 15% cash + 85% Security Receipts

v

IDRCL: resolution manager under arrangement

|

restructure / sell / enforce / insolvency route

|

RECOVERY VALUE -> SR REDEMPTION

Government guarantee covers eligible SR shortfall, not the borrower loss itself

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

NARCL is an asset reconstruction company designed to aggregate legacy stressed loans; IDRCL provides resolution-management support. Their two-entity structure is not a deposit-taking bank.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

A bad bank can concentrate expertise and free management attention, but it cannot make losses disappear; transfer price, incentives and final recovery determine the public and bank balance-sheet outcome.

MUST-WRITE KEYWORDS

- **NARCL**
- **IDRCL**
- **ARC**
- **15:85**
- **Security Receipts**
- **government guarantee**
- **transfer price**

CORE EXPLANATION

The Union announced the NARCL-IDRCL architecture in 2021. NARCL acquires identified stressed assets using 15 per cent cash and 85 per cent Security Receipts; IDRCL supports resolution under the agreed principal-agent arrangement. The Government approved a guarantee envelope of up to Rs 30,600 crore for eligible SR shortfalls over the specified five-year architecture. DFS Annual Report 2024-25 records the mechanism as operational. This package deliberately omits volatile acquisition and recovery totals.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Centralised aggregation solves coordination and expertise problems only if price discovery and resolution incentives remain credible.
- **Named evidence:** DFS and PIB's dated NARCL framework identify NARCL as acquirer, IDRCL as resolution manager and the 15:85 cash-SR consideration.
- **Analysis:** Banks receive some immediate cash and transferable claims while specialists pursue recovery across large legacy accounts.

- **Qualification:** The guarantee is conditional support for eligible SR shortfall; it is not full insurance of every loan or a waiver for the borrower.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	DFS and PIB's dated NARCL framework identify NARCL as acquirer, IDRCL as resolution manager and the 15:85 cash-SR consideration.
Prelims trap	NARCL is an ARC, not RBI, DICGC, NCLT or a new universal bank; IDRCL does not own the acquired loan merely because it manages resolution.
Mains use	Assess NARCL by valuation, aggregation, governance, recovery time and who ultimately bears loss-not by the label bad bank.

MINI RECAP

- NARCL acquires; IDRCL manages resolution.
- Consideration follows a 15:85 cash-SR structure.
- Transfer relocates stress; recovery determines value.

SESSION 18 - Wilful default, fraud and ordinary business failure

VISUAL FIRST

NON-PAYMENT / LOSS

```

|
+--> genuine business failure -> credit risk / NPA process
+--> capacity + deliberate non-payment/diversion/siphoning/
|   unauthorised disposal -> WILFUL DEFAULT
`--> deception/forgery/misappropriation/cheating indicators
    -> FRAUD RISK PROCESS
  
```

SEPARATE CLASSIFICATIONS + SEPARATE DUE PROCESS

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Wilful default is a regulatory conduct classification based on deliberate default or specified misuse despite capacity; fraud is a separately investigated and reported category involving deceptive or dishonest conduct. Neither is synonymous with every NPA.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Credit failure, wilful default and fraud sit on different evidentiary planes: repayment outcome, deliberate conduct and deception must be established separately.

MUST-WRITE KEYWORDS

- wilful default
- capacity to pay
- diversion
- siphoning
- fraud
- show-cause notice
- natural justice

CORE EXPLANATION

RBI's Wilful Defaulters Directions dated 30 July 2024 require intentional, deliberate and calculated conduct, including capacity-based non-payment, diversion, siphoning or unauthorised disposal of security. The directions define a wilful defaulter at outstanding amount of Rs 25 lakh and above and require identification and review committees with notice and representation. RBI's Fraud Risk Management Directions dated 15 July 2024 separately require governance, early-warning, investigation, a detailed show-cause notice, at least 21 days to respond and a reasoned order.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Strong borrower discipline requires precise classification and procedural fairness together.
- **Named evidence:** The two RBI Directions issued in July 2024 establish separate tests and natural-justice processes for wilful default and fraud.
- **Analysis:** Conflation can both under-punish deception and wrongly stigmatise a borrower whose project failed despite reasonable conduct.
- **Qualification:** The same facts may justify both classifications when each legal test is independently met; a bank label does not replace criminal adjudication.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The two RBI Directions issued in July 2024 establish separate tests and natural-justice processes for wilful default and fraud.
Prelims trap	Every NPA is not wilful default, every wilful default is not automatically fraud, and a red-flagged account is not a final fraud finding.
Mains use	Frame reform around early warning, due process, credit discipline and accountability rather than indiscriminate criminalisation.

MINI RECAP

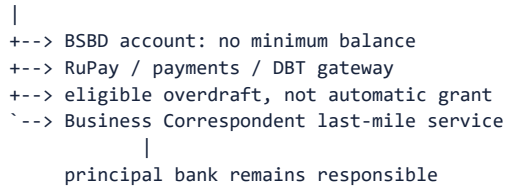
- NPA is an asset classification.
- Wilful default tests deliberate conduct.
- Fraud uses a separate process and evidentiary basis.

SESSION 19 - PMJDY, BSBD accounts and the Business Correspondent model

VISUAL FIRST

INCLUSION DELIVERY STACK

PMJDY mission (launched 28-08-2014)



ACCESS -> ACTIVE USE -> QUALITY -> WELFARE

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Financial inclusion means affordable, useful and responsible access to transactions, savings, credit, insurance and pension-not merely formal account ownership.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

PMJDY created an account-and-payments gateway; inclusion succeeds only when the account is used safely and connects households to suitable services.

MUST-WRITE KEYWORDS

- **PMJDY**
- **28 August 2014**
- **BSBD account**
- **no minimum balance**
- **DBT**
- **RuPay**
- **Business Correspondent**

CORE EXPLANATION

PMJDY was launched on 28 August 2014 as a national mission for financial inclusion. It uses basic bank accounts, payment cards, transfers and Bank Mitras or BCs to lower access costs. The DFS scheme page checked 9 September 2026 states an eligible overdraft up to Rs 10,000 and Rs 2 lakh accident cover for RuPay cards issued to new PMJDY accounts after 28 August 2018; these are conditional scheme features, not guaranteed cash. RBI's BSBD amendment dated 4 December 2025, effective 1 April 2026 or earlier adoption, requires covered banks to provide listed basic facilities without a minimum balance and at least four free monthly withdrawals, excluding specified digital payments from that withdrawal count.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A low-cost account becomes inclusion infrastructure when it supports repeated transactions and trusted service.
- **Named evidence:** DFS's PMJDY design and RBI's dated BSBD rules connect account access with payments, service standards and zero-minimum-balance protection.
- **Analysis:** DBT and nearby BC service can lower travel and transaction costs, but inactive accounts or failed authentication limit welfare gains.
- **Qualification:** A BC is the bank's agent, not an independent bank; overdraft and insurance benefits remain subject to scheme and card conditions.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	DFS's PMJDY design and RBI's dated BSBD rules connect account access with payments, service standards and zero-minimum-balance protection.
Prelims trap	BSBD is available as a normal banking service and is not identical to PMJDY; zero minimum balance does not mean every service is unlimited.
Mains use	Evaluate access through usage, service reliability, grievance redress, gender and geographic barriers.

MINI RECAP

- PMJDY began on 28 August 2014.
- BSBD has no minimum balance under dated RBI rules.
- The principal bank remains responsible for its BC.

SESSION 20 - Priority sector, MUDRA and differentiated-bank cross-links

VISUAL FIRST

CREDIT-DIRECTION TOOLS

PSL -> portfolio obligation by eligible sector

- most domestic commercial banks: 40% ANBC/CEOBE
- SFB: 60% from FY 2025-26

PMMY -> micro-enterprise loans through member lenders

- Shishu <= Rs 50,000
- Kishore >50,000 to Rs 5 lakh
- Tarun >5 lakh to Rs 10 lakh
- Tarun Plus >10 lakh to Rs 20 lakh for eligible repeat borrowers

Payments Bank -> payments, no own lending | SFB -> deposits + lending

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Priority Sector Lending is a dated RBI portfolio-allocation framework; PMMY is a government refinance/credit-support architecture for eligible micro-enterprise lending through member institutions.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Directed credit can correct under-supply, but targets and guarantees must preserve appraisal, suitable pricing and borrower repayment capacity.

MUST-WRITE KEYWORDS

- PSL
- ANBC
- CEOBE
- 40%
- SFB 60%
- PMMY
- MUDRA
- Tarun Plus

CORE EXPLANATION

RBI's PSL Directions effective 1 April 2025 require most domestic commercial banks to target 40 per cent of ANBC or CEOBE, whichever is higher; RBI's 20 June 2025 revision sets the SFB overall target at 60 per cent from FY 2025-26. PMMY categories are Shishu up to Rs 50,000, Kishore above Rs 50,000 to Rs 5 lakh, Tarun above Rs 5 lakh to Rs 10 lakh, and Tarun Plus above Rs 10 lakh to Rs 20 lakh for entrepreneurs who successfully repaid a Tarun loan, effective from the 24 October 2024 notification. Payments Banks support access but cannot lend from their own balance sheets; SFBs can.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Inclusion policy should target a market failure without converting credit allocation into automatic entitlement.
- **Named evidence:** The dated RBI PSL directions and DFS PMMY framework distinguish a regulated portfolio target from a loan-product scheme.
- **Analysis:** Targets can improve lender attention and product development, while refinance or guarantees can reduce funding or collateral constraints.
- **Qualification:** Classification as priority sector or scheme eligibility does not remove underwriting, repayment obligation or consumer-protection duties.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The dated RBI PSL directions and DFS PMMY framework distinguish a regulated portfolio target from a loan-product scheme.
Prelims trap	PSL is not a subsidy, MUDRA is not itself the branch that originates every loan, and Payments Banks cannot satisfy inclusion by own lending.
Mains use	Compare access gains with misallocation, over-indebtedness and target-gaming risks.

MINI RECAP

- PSL percentages need dates and denominators.
- Tarun Plus is conditional and dates from 24 October 2024.
- Differentiated banks have different lending powers.

SESSION 21 - SHGs, JLGs and relationship-based rural finance

VISUAL FIRST

SELF-HELP GROUP (SHG)

savings + group rules + internal lending



SHG-BANK LINKAGE (NABARD pilot 1992)

group account / bank credit -> social collateral + peer discipline

JOINT LIABILITY GROUP (JLG)

small borrower cluster -> individual/group loans -> mutual repayment guarantee

GROUP METHOD != BANK LICENCE != GUARANTEE OF SUCCESS

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

An SHG is a voluntary savings-and-credit group linked to formal banks; a JLG is a small borrower group using joint liability to improve access where conventional collateral is weak.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Group-based finance substitutes local information and peer discipline for part of conventional collateral, but it does not abolish credit risk or the need for borrower protection.

MUST-WRITE KEYWORDS

- SHG-Bank Linkage
- NABARD
- 1992
- Panchsutras
- JLG
- social collateral
- peer monitoring

CORE EXPLANATION

NABARD launched the SHG-Bank Linkage pilot in 1992. A mature SHG builds savings, internal lending, meeting discipline, repayment history and bookkeeping before or alongside bank linkage; women-led groups also create social and livelihood capacity. JLG members commonly pursue similar activities and jointly guarantee repayment, helping tenant farmers and small producers lacking formal collateral. Banks remain the regulated lenders. Group pressure can improve information and repayment but can also become coercive or hide multiple borrowing.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Relationship-based lending can lower information and collateral barriers where formal credit scoring is thin.
- **Named evidence:** NABARD's SHG-Bank Linkage architecture uses group savings and bank linkage; JLG guidance uses mutual liability for eligible small borrowers.
- **Analysis:** Repeated interaction and peer information reduce monitoring costs and create a record that formal lenders can evaluate.
- **Qualification:** Social collateral can impose unequal pressure, so suitability, household cash flow, transparent pricing and grievance access remain essential.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	NABARD's SHG-Bank Linkage architecture uses group savings and bank linkage; JLG guidance uses mutual liability for eligible small borrowers.
Prelims trap	An SHG or JLG is not a bank, and joint liability does not make a loan risk-free or automatically subsidised.
Mains use	Link women-led institutions and rural access with repayment capacity, livelihoods and protection against coercive recovery.

MINI RECAP

- SHG-BLP began as a NABARD pilot in 1992.
- JLGs use mutual repayment responsibility.
- Group methods complement rather than replace regulated lenders.

SESSION 22 - Digital inclusion, FI-Index and consumer risk

VISUAL FIRST

DIGITAL FINANCE

low-cost account + mobile + identity + payments + data

|

+--> ACCESS: reach and availability

+--> USAGE: active, repeated use

`--> QUALITY: literacy, protection, service

|

RISKS: exclusion | fraud | outages | consent abuse | mis-selling

|

RESPONSE: assisted access + security + grievance redress + liability clarity

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Digital financial inclusion uses technology to lower access and transaction costs while preserving informed consent, security, reliability and redress. RBI's FI-Index measures Access, Usage and Quality.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Digitisation reduces distance but can create a new exclusion frontier; the relevant test is reliable and protected use, not app downloads or account totals.

MUST-WRITE KEYWORDS

- FI-Index
- Access
- Usage
- Quality
- digital divide
- authentication
- cyber fraud
- grievance redress

CORE EXPLANATION

RBI's release dated 22 July 2025 reports the FI-Index for March 2025 and confirms its three sub-indices: Access, Usage and Quality. Digital rails can make small transactions viable and create records useful for credit appraisal. Yet device access, connectivity, language, disability, authentication failure, data misuse, fraud and weak recourse can exclude or harm users. Assisted channels, transaction alerts, consent controls, fraud response, financial literacy and accessible complaint systems are therefore part of inclusion policy.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Digital reach is an input; sustained, safe usage is the inclusion outcome.
- **Named evidence:** RBI's dated FI-Index architecture explicitly includes Usage and Quality alongside Access.
- **Analysis:** A multidimensional index prevents policymakers from treating the opening of an account or availability of an app as proof of effective participation.
- **Qualification:** A composite score is an aggregate signal and cannot reveal every district, gender, disability or service-level gap.

EVIDENCE, PRELIMS TRAP AND MAINS USE

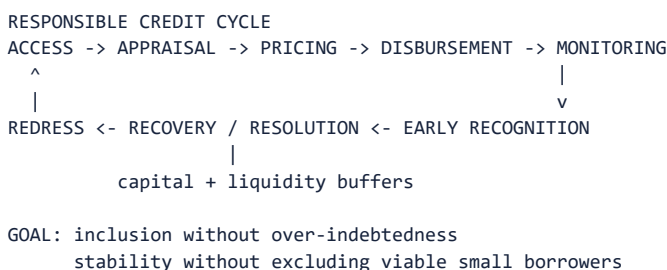
Exam tool	Topic-specific use
Evidence	RBI's dated FI-Index architecture explicitly includes Usage and Quality alongside Access.
Prelims trap	The FI-Index has no conventional base year and is not merely a count of accounts, branches or digital transactions.
Mains use	Balance cost reduction and formalisation against exclusion, privacy, fraud and liability risks.

MINI RECAP

- FI-Index has Access, Usage and Quality.
- Digital access needs assisted alternatives.
- Consumer protection is part of inclusion.

SESSION 23 - Inclusion versus stability: integrated regulatory architecture

VISUAL FIRST



Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Inclusive stability means expanding useful finance while preserving underwriting, transparent conduct, loss recognition, capital and credible exit.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Inclusion and stability are complements when access is suitable and losses are recognised; they become rivals when targets, guarantees or digital speed weaken appraisal and accountability.

MUST-WRITE KEYWORDS

- **responsible finance**
- **suitability**
- **over-indebtedness**
- **proportional regulation**
- **consumer protection**
- **credible exit**
- **financial stability**

CORE EXPLANATION

Access policies widen the borrower and depositor base, diversify savings and support resilience. But aggressive targets, poorly designed guarantees, opaque digital lending or coercive group recovery can create unsuitable debt and future NPAs. Conversely, blunt risk aversion after a bad-loan cycle can exclude viable small firms and households. A complete architecture combines financial literacy, transparent pricing, cash-flow appraisal, credit-information safeguards, early-warning systems, proportional capital, fair recovery, time-bound resolution and accessible redress.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The quality of inclusion is visible in the full credit lifecycle, not at the point of account opening or loan sanction.
- **Named evidence:** PMJDY/BSBD access, RBI's Access-Usage-Quality index and prudential recognition rules together span entry, use, stress and exit.
- **Analysis:** When lenders internalise expected loss and remain accountable for agents and digital partners, expansion is less likely to become hidden over-indebtedness.
- **Qualification:** Zero risk is neither feasible nor desirable; regulation should distinguish productive risk-taking from concealment, predation and connected lending.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	PMJDY/BSBD access, RBI's Access-Usage-Quality index and prudential recognition rules together span entry, use, stress and exit.
Prelims trap	More accounts do not automatically mean more welfare, and lower credit growth after cleanup does not automatically prove regulatory failure.
Mains use	Conclude with a joined reform chain: access, suitability, recognition, buffers, resolution, accountability and learning.

MINI RECAP

- Access must become useful and safe usage.
- Prudential discipline protects durable inclusion.
- Good regulation permits risk but prevents hidden loss.

BASIC MCQS / REMEDIATION

MCQ 1

A term loan ordinarily becomes NPA under RBI's current commercial-bank IRACP directions when:

- A. Interest or principal remains overdue for more than 90 days
- B. The instalment is unpaid at any time on the due date
- C. The borrower reports an ICR below one
- D. The value of collateral falls below the loan

Answer: A.

Option-specific explanations:

- **A - Correct:** The dated RBI rule distinguishes the due-date concept of overdue from NPA classification after more than 90 days.
- **B - Incorrect:** The instalment is unpaid at any time on the due date does not satisfy the question's governing distinction. The tested rule instead is: The dated RBI rule distinguishes the due-date concept of overdue from NPA classification after more than 90 days.
- **C - Incorrect:** The borrower reports an ICR below one does not satisfy the question's governing distinction. The tested rule instead is: The dated RBI rule distinguishes the due-date concept of overdue from NPA classification after more than 90 days.
- **D - Incorrect:** The value of collateral falls below the loan does not satisfy the question's governing distinction. The tested rule instead is: The dated RBI rule distinguishes the due-date concept of overdue from NPA classification after more than 90 days.

Examiner trap 1: Do not convert overdue on due date into NPA on due date.

MCQ 2

Which condition can make a cash-credit account out of order?

- A. The account has any debit entry during a month
- B. Credits during the previous 90 days are insufficient to cover interest debited
- C. The borrower uses less than the sanctioned limit
- D. The loan has valuable collateral

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The account has any debit entry during a month does not satisfy the question's governing distinction. The tested rule instead is: The CC/OD test looks at excess over limit/drawing power and genuine credit turnover over 90 days.
- **B - Correct:** The CC/OD test looks at excess over limit/drawing power and genuine credit turnover over 90 days.
- **C - Incorrect:** The borrower uses less than the sanctioned limit does not satisfy the question's governing distinction. The tested rule instead is: The CC/OD test looks at excess over limit/drawing power and genuine credit turnover over 90 days.
- **D - Incorrect:** The loan has valuable collateral does not satisfy the question's governing distinction. The tested rule instead is: The CC/OD test looks at excess over limit/drawing power and genuine credit turnover over 90 days.

Examiner trap 2: CC/OD uses out-of-order tests, not merely the term-loan instalment test.

MCQ 3

Consider the following statements about agricultural NPA recognition:

1. A short-duration crop advance becomes NPA when overdue for two crop seasons.
2. A long-duration crop advance becomes NPA when overdue for one crop season.
3. A fall in crop prices by itself classifies every farm advance as NPA.

Which of the statements given above are correct?

- A. 1 only
- B. 2 and 3 only
- C. 1 and 2 only
- D. 1, 2 and 3

Answer: C.

Option-specific explanations:

- **A - Incorrect:** 1 only does not satisfy the question's governing distinction. The tested rule instead is: The current RBI framework uses two crop seasons for short-duration crops and one for long-duration crops; a price fall alone is not the recognition test.
- **B - Incorrect:** 2 and 3 only does not satisfy the question's governing distinction. The tested rule instead is: The current RBI framework uses two crop seasons for short-duration crops and one for long-duration crops; a price fall alone is not the recognition test.
- **C - Correct:** The current RBI framework uses two crop seasons for short-duration crops and one for long-duration crops; a price fall alone is not the recognition test.
- **D - Incorrect:** 1, 2 and 3 does not satisfy the question's governing distinction. The tested rule instead is: The current RBI framework uses two crop seasons for short-duration crops and one for long-duration crops; a price fall alone is not the recognition test.

Examiner trap 3: Crop-season rules are product-specific exceptions to the common 90-day shorthand.

MCQ 4

Which statement about borrower-wise classification is correct?

- A. Only the missed instalment becomes an NPA asset
- B. Security value always prevents NPA recognition
- C. Classification is decided separately by each bank branch
- D. Other facilities to the same borrower in the bank are generally also classified NPA when one facility turns NPA

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Only the missed instalment becomes an NPA asset does not satisfy the question's governing distinction. The tested rule instead is: The rule prevents a lender from isolating one irregular facility while treating the same borrower's connected facilities as fully performing.
- **B - Incorrect:** Security value always prevents NPA recognition does not satisfy the question's governing distinction. The tested rule instead is: The rule prevents a lender from isolating one irregular facility while treating the same borrower's connected facilities as fully performing.
- **C - Incorrect:** Classification is decided separately by each bank branch does not satisfy the question's governing distinction. The tested rule instead is: The rule prevents a lender from isolating one irregular facility while treating the same borrower's connected facilities as fully performing.
- **D - Correct:** The rule prevents a lender from isolating one irregular facility while treating the same borrower's connected facilities as fully performing.

Examiner trap 4: Borrower-wise within one bank does not mean system-wide automatic classification by every lender.

MCQ 5

An asset that has remained NPA for no more than twelve months is generally:

- A. Substandard
- B. Standard
- C. Doubtful for more than three years
- D. Automatically written off

Answer: A.

Option-specific explanations:

- **A - Correct:** The 2025 IRACP Directions define the first NPA ageing category as substandard for up to twelve months.
- **B - Incorrect:** Standard does not satisfy the question's governing distinction. The tested rule instead is: The 2025 IRACP Directions define the first NPA ageing category as substandard for up to twelve months.
- **C - Incorrect:** Doubtful for more than three years does not satisfy the question's governing distinction. The tested rule instead is: The 2025 IRACP Directions define the first NPA ageing category as substandard for up to twelve months.
- **D - Incorrect:** Automatically written off does not satisfy the question's governing distinction. The tested rule instead is: The 2025 IRACP Directions define the first NPA ageing category as substandard for up to twelve months.

Examiner trap 5: NPA is the umbrella; substandard is one class within it.

MCQ 6

Which statement best describes a doubtful asset?

- A. It is overdue for one day
- B. It has remained in the substandard category for twelve months
- C. It is fully secured and therefore standard
- D. It has already been legally waived

Answer: B.

Option-specific explanations:

- **A - Incorrect:** It is overdue for one day does not satisfy the question's governing distinction. The tested rule instead is: RBI's current definition moves an exposure from substandard to doubtful after twelve months in that category.
- **B - Correct:** RBI's current definition moves an exposure from substandard to doubtful after twelve months in that category.
- **C - Incorrect:** It is fully secured and therefore standard does not satisfy the question's governing distinction. The tested rule instead is: RBI's current definition moves an exposure from substandard to doubtful after twelve months in that category.
- **D - Incorrect:** It has already been legally waived does not satisfy the question's governing distinction. The tested rule instead is: RBI's current definition moves an exposure from substandard to doubtful after twelve months in that category.

Examiner trap 6: Collateral affects provisioning and recovery, not the basic ageing definition.

MCQ 7

Consider the following general provisioning pairs under the RBI directions updated 1 July 2026:

1. Substandard asset - 15 per cent
2. Unsecured substandard exposure - 25 per cent
3. Loss asset retained in books - 100 per cent

How many pairs are correctly matched?

- A. Only one
- B. Only two
- C. All three
- D. None

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Only one does not satisfy the question's governing distinction. The tested rule instead is: All three pairs state the applicable general provisioning rates; identified loss retained in the books must be fully provided.
- **B - Incorrect:** Only two does not satisfy the question's governing distinction. The tested rule instead is: All three pairs state the applicable general provisioning rates; identified loss retained in the books must be fully provided.
- **C - Correct:** All three pairs state the applicable general provisioning rates; identified loss retained in the books must be fully provided.
- **D - Incorrect:** None does not satisfy the question's governing distinction. The tested rule instead is: All three pairs state the applicable general provisioning rates; identified loss retained in the books must be fully provided.

Examiner trap 7: Special exposure-specific rules can qualify the general rates, but litigation does not suspend loss provisioning.

MCQ 8

Which statement correctly separates a technical write-off from a waiver?

- A. Both automatically discharge the borrower
- B. A waiver is only a provision against profit
- C. Neither affects the loan account
- D. A technical write-off changes bank accounting while recovery rights may continue

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Both automatically discharge the borrower does not satisfy the question's governing distinction. The tested rule instead is: The current RBI Resolution Directions define technical write-off without waiver of claims or prejudice to recovery.
- **B - Incorrect:** A waiver is only a provision against profit does not satisfy the question's governing distinction. The tested rule instead is: The current RBI Resolution Directions define technical write-off without waiver of claims or prejudice to recovery.
- **C - Incorrect:** Neither affects the loan account does not satisfy the question's governing distinction. The tested rule instead is: The current RBI Resolution Directions define technical write-off without waiver of claims or prejudice to recovery.
- **D - Correct:** The current RBI Resolution Directions define technical write-off without waiver of claims or prejudice to recovery.

Examiner trap 8: A lower reported loan book after write-off is not evidence of cash recovery.

MCQ 9

The provisioning coverage ratio is best described as:

- A. Provisions relative to gross NPAs
- B. Gross NPAs divided by total deposits
- C. Capital divided by total assets
- D. Recoveries divided by written-off loans only

Answer: A.

Option-specific explanations:

- **A - Correct:** PCR indicates the extent of funds set aside against recognised gross bad loans.
- **B - Incorrect:** Gross NPAs divided by total deposits does not satisfy the question's governing distinction. The tested rule instead is: PCR indicates the extent of funds set aside against recognised gross bad loans.
- **C - Incorrect:** Capital divided by total assets does not satisfy the question's governing distinction. The tested rule instead is: PCR indicates the extent of funds set aside against recognised gross bad loans.
- **D - Incorrect:** Recoveries divided by written-off loans only does not satisfy the question's governing distinction. The tested rule instead is: PCR indicates the extent of funds set aside against recognised gross bad loans.

Examiner trap 9: PCR is not CRAR and does not measure deposit insurance.

MCQ 10

Which statement about Interest Coverage Ratio is correct?

- A. It is the ratio used to calculate DICGC cover
- B. It indicates earnings capacity to service interest but is not the legal NPA test
- C. A value below one automatically proves fraud
- D. It measures bank capital against RWA

Answer: B.

Option-specific explanations:

- **A - Incorrect:** It is the ratio used to calculate DICGC cover does not satisfy the question's governing distinction. The tested rule instead is: ICR is a borrower cash-flow warning indicator, whereas NPA classification follows RBI prudential triggers.
- **B - Correct:** ICR is a borrower cash-flow warning indicator, whereas NPA classification follows RBI prudential triggers.
- **C - Incorrect:** A value below one automatically proves fraud does not satisfy the question's governing distinction. The tested rule instead is: ICR is a borrower cash-flow warning indicator, whereas NPA classification follows RBI prudential triggers.
- **D - Incorrect:** It measures bank capital against RWA does not satisfy the question's governing distinction. The tested rule instead is: ICR is a borrower cash-flow warning indicator, whereas NPA classification follows RBI prudential triggers.

Examiner trap 10: Financial weakness and regulatory classification are related but not identical.

MCQ 11

Evergreening most accurately means:

- A. A transparent viable restructuring with proper recognition
- B. A cash recovery from sale of collateral
- C. Using fresh or engineered finance to conceal an unviable old exposure
- D. A bank raising common equity

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A transparent viable restructuring with proper recognition does not satisfy the question's governing distinction. The tested rule instead is: Evergreening creates the appearance of repayment without restoring sustainable borrower cash flow.
- **B - Incorrect:** A cash recovery from sale of collateral does not satisfy the question's governing distinction. The tested rule instead is: Evergreening creates the appearance of repayment without restoring sustainable borrower cash flow.
- **C - Correct:** Evergreening creates the appearance of repayment without restoring sustainable borrower cash flow.
- **D - Incorrect:** A bank raising common equity does not satisfy the question's governing distinction. The tested rule instead is: Evergreening creates the appearance of repayment without restoring sustainable borrower cash flow.

Examiner trap 11: Additional finance is not automatically evergreening if independently viable and transparently recognised.

MCQ 12

A bank has eligible regulatory capital of Rs 9 crore and risk-weighted assets of Rs 100 crore. Its total CRAR is:

- A. 0.09 per cent
- B. 11.5 per cent necessarily
- C. Cannot be calculated without total deposits
- D. 9 per cent

Answer: D.

Option-specific explanations:

- **A - Incorrect:** 0.09 per cent does not satisfy the question's governing distinction. The tested rule instead is: CRAR equals eligible regulatory capital divided by risk-weighted assets, multiplied by 100; the stated figures therefore yield 9 per cent.
- **B - Incorrect:** 11.5 per cent necessarily does not satisfy the question's governing distinction. The tested rule instead is: CRAR equals eligible regulatory capital divided by risk-weighted assets, multiplied by 100; the stated figures therefore yield 9 per cent.
- **C - Incorrect:** Cannot be calculated without total deposits does not satisfy the question's governing distinction. The tested rule instead is: CRAR equals eligible regulatory capital divided by risk-weighted assets, multiplied by 100; the stated figures therefore yield 9 per cent.
- **D - Correct:** CRAR equals eligible regulatory capital divided by risk-weighted assets, multiplied by 100; the stated figures therefore yield 9 per cent.

Examiner trap 12: Meeting a numerical CRAR does not establish that every component minimum or buffer is met.

MCQ 13

What is Basel Pillar 2?

- A. Supervisory review of capital adequacy and risks
- B. Minimum capital calculation alone
- C. Market disclosure alone
- D. Deposit insurance resolution

Answer: A.

Option-specific explanations:

- **A - Correct:** Pillar 2 allows supervisors to assess risks and capital needs beyond mechanical Pillar 1 minima.
- **B - Incorrect:** Minimum capital calculation alone does not satisfy the question's governing distinction. The tested rule instead is: Pillar 2 allows supervisors to assess risks and capital needs beyond mechanical Pillar 1 minima.
- **C - Incorrect:** Market disclosure alone does not satisfy the question's governing distinction. The tested rule instead is: Pillar 2 allows supervisors to assess risks and capital needs beyond mechanical Pillar 1 minima.
- **D - Incorrect:** Deposit insurance resolution does not satisfy the question's governing distinction. The tested rule instead is: Pillar 2 allows supervisors to assess risks and capital needs beyond mechanical Pillar 1 minima.

Examiner trap 13: Pillar 3, not Pillar 2, is market discipline through disclosure.

MCQ 14

Arrange the following Basel developments in chronological order:

1. Three-pillar architecture
 2. Credit-risk-focused capital floor
 3. Stronger capital quality, buffers, leverage and liquidity standards
- A. 1 - 2 - 3
 - B. 2 - 1 - 3
 - C. 3 - 2 - 1
 - D. 2 - 3 - 1

Answer: B.

Option-specific explanations:

- **A - Incorrect:** 1 - 2 - 3 does not satisfy the question's governing distinction. The tested rule instead is: Basel I centred on a credit-risk capital floor, Basel II introduced the three pillars, and Basel III strengthened capital while adding leverage and liquidity safeguards.
- **B - Correct:** Basel I centred on a credit-risk capital floor, Basel II introduced the three pillars, and Basel III strengthened capital while adding leverage and liquidity safeguards.
- **C - Incorrect:** 3 - 2 - 1 does not satisfy the question's governing distinction. The tested rule instead is: Basel I centred on a credit-risk capital floor, Basel II introduced the three pillars, and Basel III strengthened capital while adding leverage and liquidity safeguards.
- **D - Incorrect:** 2 - 3 - 1 does not satisfy the question's governing distinction. The tested rule instead is: Basel I centred on a credit-risk capital floor, Basel II introduced the three pillars, and Basel III strengthened capital while adding leverage and liquidity safeguards.

Examiner trap 14: Basel chronology does not mean that later standards replace supervision or disclosure.

MCQ 15

Under RBI's Basel III Master Circular dated 1 April 2025, the covered-SCB standalone total CRAR minimum before CCB is:

- A. 8 per cent
- B. 11.5 per cent
- C. 9 per cent
- D. 5.5 per cent

Answer: C.

Option-specific explanations:

- **A - Incorrect:** 8 per cent does not satisfy the question's governing distinction. The tested rule instead is: India's 9 per cent total minimum is above the Basel global 8 per cent floor; 11.5 per cent includes the 2.5 per cent CCB.
- **B - Incorrect:** 11.5 per cent does not satisfy the question's governing distinction. The tested rule instead is: India's 9 per cent total minimum is above the Basel global 8 per cent floor; 11.5 per cent includes the 2.5 per cent CCB.
- **C - Correct:** India's 9 per cent total minimum is above the Basel global 8 per cent floor; 11.5 per cent includes the 2.5 per cent CCB.
- **D - Incorrect:** 5.5 per cent does not satisfy the question's governing distinction. The tested rule instead is: India's 9 per cent total minimum is above the Basel global 8 per cent floor; 11.5 per cent includes the 2.5 per cent CCB.

Examiner trap 15: State the RBI perimeter because SFBs, Payments Banks and RRBs use separate rules.

MCQ 16

Which buffer is designed to conserve capital during stress through distribution constraints?

- A. Cash Reserve Ratio
- B. Liquidity Coverage Ratio
- C. Provisioning Coverage Ratio
- D. Capital Conservation Buffer

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Cash Reserve Ratio does not satisfy the question's governing distinction. The tested rule instead is: The CCB is common-equity capital above minima and constrains distributions when a bank enters the buffer range.
- **B - Incorrect:** Liquidity Coverage Ratio does not satisfy the question's governing distinction. The tested rule instead is: The CCB is common-equity capital above minima and constrains distributions when a bank enters the buffer range.
- **C - Incorrect:** Provisioning Coverage Ratio does not satisfy the question's governing distinction. The tested rule instead is: The CCB is common-equity capital above minima and constrains distributions when a bank enters the buffer range.
- **D - Correct:** The CCB is common-equity capital above minima and constrains distributions when a bank enters the buffer range.

Examiner trap 16: CCB is not a cash reserve or an expected-loss provision.

MCQ 17

Consider the following statements about India's Countercyclical Capital Buffer (CCyB):

1. RBI has a framework under which the buffer can be activated with systemic conditions.
2. The cited Basel III Master Circular of 1 April 2025 reported it as not activated.
3. It permanently replaces the Capital Conservation Buffer.

Which of the statements given above are correct?

- A. 1 and 2 only
- B. 1 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: A.

Option-specific explanations:

- **A - Correct:** RBI retains a CCyB framework but the cited circular reported no activation; it does not permanently replace the Capital Conservation Buffer.
- **B - Incorrect:** 1 only does not satisfy the question's governing distinction. The tested rule instead is: RBI retains a CCyB framework but the cited circular reported no activation; it does not permanently replace the Capital Conservation Buffer.
- **C - Incorrect:** 2 and 3 only does not satisfy the question's governing distinction. The tested rule instead is: RBI retains a CCyB framework but the cited circular reported no activation; it does not permanently replace the Capital Conservation Buffer.
- **D - Incorrect:** 1, 2 and 3 does not satisfy the question's governing distinction. The tested rule instead is: RBI retains a CCyB framework but the cited circular reported no activation; it does not permanently replace the Capital Conservation Buffer.

Examiner trap 17: A maximum framework value is not the same as the currently activated rate.

MCQ 18

The leverage ratio differs from CRAR because its denominator is:

- A. Only risk-weighted corporate assets
- B. A broad exposure measure without risk weights
- C. Only high-quality liquid assets
- D. Net cash outflows over 30 days

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Only risk-weighted corporate assets does not satisfy the question's governing distinction. The tested rule instead is: The leverage ratio is a simple non-risk-based backstop against model or risk-weight understatement.
- **B - Correct:** The leverage ratio is a simple non-risk-based backstop against model or risk-weight understatement.
- **C - Incorrect:** Only high-quality liquid assets does not satisfy the question's governing distinction. The tested rule instead is: The leverage ratio is a simple non-risk-based backstop against model or risk-weight understatement.
- **D - Incorrect:** Net cash outflows over 30 days does not satisfy the question's governing distinction. The tested rule instead is: The leverage ratio is a simple non-risk-based backstop against model or risk-weight understatement.

Examiner trap 18: Do not use the RWA denominator for both ratios.

MCQ 19

What does a 100 per cent LCR require under the cited RBI framework?

- A. Stable funding equal to one-year required funding
- B. CET1 equal to total assets
- C. HQLA sufficient to meet 30-day stressed net cash outflows
- D. Cash equal to all deposits

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Stable funding equal to one-year required funding does not satisfy the question's governing distinction. The tested rule instead is: LCR matches a stock of high-quality liquid assets to modelled net outflows over a 30-day stress horizon.
- **B - Incorrect:** CET1 equal to total assets does not satisfy the question's governing distinction. The tested rule instead is: LCR matches a stock of high-quality liquid assets to modelled net outflows over a 30-day stress horizon.
- **C - Correct:** LCR matches a stock of high-quality liquid assets to modelled net outflows over a 30-day stress horizon.
- **D - Incorrect:** Cash equal to all deposits does not satisfy the question's governing distinction. The tested rule instead is: LCR matches a stock of high-quality liquid assets to modelled net outflows over a 30-day stress horizon.

Examiner trap 19: NSFR, not LCR, is the one-year structural-funding test.

MCQ 20

NSFR of at least 100 per cent means:

- A. Cash inflow exceeds cash outflow for one day
- B. Gross NPA equals provisions
- C. Tier 2 exceeds CET1
- D. Available stable funding is at least required stable funding over the one-year horizon

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Cash inflow exceeds cash outflow for one day does not satisfy the question's governing distinction. The tested rule instead is: The ratio limits reliance on unstable funding for assets and activities requiring longer-term support.
- **B - Incorrect:** Gross NPA equals provisions does not satisfy the question's governing distinction. The tested rule instead is: The ratio limits reliance on unstable funding for assets and activities requiring longer-term support.
- **C - Incorrect:** Tier 2 exceeds CET1 does not satisfy the question's governing distinction. The tested rule instead is: The ratio limits reliance on unstable funding for assets and activities requiring longer-term support.
- **D - Correct:** The ratio limits reliance on unstable funding for assets and activities requiring longer-term support.

Examiner trap 20: NSFR is not an immediate-run cash ratio.

MCQ 21

Which tool is preventive supervision rather than insolvency resolution?

- A. Prompt Corrective Action
- B. IBC liquidation
- C. SARFAESI sale
- D. DICGC payout

Answer: A.

Option-specific explanations:

- **A - Correct:** PCA imposes corrective restrictions based on financial indicators before or during serious weakness.
- **B - Incorrect:** IBC liquidation does not satisfy the question's governing distinction. The tested rule instead is: PCA imposes corrective restrictions based on financial indicators before or during serious weakness.
- **C - Incorrect:** SARFAESI sale does not satisfy the question's governing distinction. The tested rule instead is: PCA imposes corrective restrictions based on financial indicators before or during serious weakness.
- **D - Incorrect:** DICGC payout does not satisfy the question's governing distinction. The tested rule instead is: PCA imposes corrective restrictions based on financial indicators before or during serious weakness.

Examiner trap 21: PCA does not transfer the bank to NCLT or pay insured deposits.

MCQ 22

A borrower defaults under a facility covered by RBI's Commercial Banks Resolution of Stressed Assets Directions, 2025. What is the immediate prudential sequence?

- A. Classification is frozen for 180 days
- B. A 30-day Review Period begins while normal asset classification continues
- C. The account moves automatically to NCLT liquidation
- D. The lender must wait for a technical write-off

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Classification is frozen for 180 days does not satisfy the question's governing distinction. The tested rule instead is: The dated framework gives lenders a 30-day Review Period to choose a documented strategy without suspending normal IRACP recognition.
- **B - Correct:** The dated framework gives lenders a 30-day Review Period to choose a documented strategy without suspending normal IRACP recognition.
- **C - Incorrect:** The account moves automatically to NCLT liquidation does not satisfy the question's governing distinction. The tested rule instead is: The dated framework gives lenders a 30-day Review Period to choose a documented strategy without suspending normal IRACP recognition.
- **D - Incorrect:** The lender must wait for a technical write-off does not satisfy the question's governing distinction. The tested rule instead is: The dated framework gives lenders a 30-day Review Period to choose a documented strategy without suspending normal IRACP recognition.

Examiner trap 22: A Review Period is a decision window, not regulatory forbearance.

MCQ 23

What voting rule binds signatories under the RBI inter-creditor agreement?

- A. 66 per cent by value only
- B. 51 per cent by number only
- C. 75 per cent by value and 60 per cent by number
- D. Unanimity in every case

Answer: C.

Option-specific explanations:

- **A - Incorrect:** 66 per cent by value only does not satisfy the question's governing distinction. The tested rule instead is: The current RBI out-of-court framework uses dual value-and-number thresholds for ICA signatories.
- **B - Incorrect:** 51 per cent by number only does not satisfy the question's governing distinction. The tested rule instead is: The current RBI out-of-court framework uses dual value-and-number thresholds for ICA signatories.
- **C - Correct:** The current RBI out-of-court framework uses dual value-and-number thresholds for ICA signatories.
- **D - Incorrect:** Unanimity in every case does not satisfy the question's governing distinction. The tested rule instead is: The current RBI out-of-court framework uses dual value-and-number thresholds for ICA signatories.

Examiner trap 23: Do not substitute the IBC CoC's 66 per cent voting rule.

MCQ 24

Match the mechanism with its governing decision rule:

1. RBI inter-creditor agreement - 75 per cent by value and 60 per cent by number
2. IBC resolution plan - at least 66 per cent of CoC voting share
3. SARFAESI section 13(2) - 60-day demand notice

Which option is correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: D.

Option-specific explanations:

- **A - Incorrect:** 1 only does not satisfy the question's governing distinction. The tested rule instead is: All three matches preserve the distinct contractual, collective-insolvency and secured-enforcement thresholds.

- **B - Incorrect:** 1 and 2 only does not satisfy the question's governing distinction. The tested rule instead is: All three matches preserve the distinct contractual, collective-insolvency and secured-enforcement thresholds.
- **C - Incorrect:** 2 and 3 only does not satisfy the question's governing distinction. The tested rule instead is: All three matches preserve the distinct contractual, collective-insolvency and secured-enforcement thresholds.
- **D - Correct:** All three matches preserve the distinct contractual, collective-insolvency and secured-enforcement thresholds.

Examiner trap 24: Never transfer the ICA's dual threshold to the IBC CoC or treat a notice period as a voting rule.

MCQ 25

Which institution is created under the Recovery of Debts and Bankruptcy Act, 1993?

- A. Debt Recovery Tribunal
- B. Committee of Creditors
- C. Deposit Insurance Corporation
- D. Monetary Policy Committee

Answer: A.

Option-specific explanations:

- **A - Correct:** DRTs adjudicate and recover qualifying debts of banks and financial institutions under the specialised statute.
- **B - Incorrect:** Committee of Creditors does not satisfy the question's governing distinction. The tested rule instead is: DRTs adjudicate and recover qualifying debts of banks and financial institutions under the specialised statute.
- **C - Incorrect:** Deposit Insurance Corporation does not satisfy the question's governing distinction. The tested rule instead is: DRTs adjudicate and recover qualifying debts of banks and financial institutions under the specialised statute.
- **D - Incorrect:** Monetary Policy Committee does not satisfy the question's governing distinction. The tested rule instead is: DRTs adjudicate and recover qualifying debts of banks and financial institutions under the specialised statute.

Examiner trap 25: DRT recovery and NCLT insolvency are distinct routes.

MCQ 26

A Security Receipt issued through an ARC represents:

- A. An insured demand deposit
- B. An undivided interest in the financial assets held under the scheme
- C. Common equity in RBI
- D. A statutory loan waiver

Answer: B.

Option-specific explanations:

- **A - Incorrect:** An insured demand deposit does not satisfy the question's governing distinction. The tested rule instead is: The SR links the investor's return to realisation from the acquired stressed-asset pool.
- **B - Correct:** The SR links the investor's return to realisation from the acquired stressed-asset pool.
- **C - Incorrect:** Common equity in RBI does not satisfy the question's governing distinction. The tested rule instead is: The SR links the investor's return to realisation from the acquired stressed-asset pool.
- **D - Incorrect:** A statutory loan waiver does not satisfy the question's governing distinction. The tested rule instead is: The SR links the investor's return to realisation from the acquired stressed-asset pool.

Examiner trap 26: ARC registration does not make every SR sovereign-guaranteed.

MCQ 27

What begins when NCLT admits a corporate insolvency application?

- A. Automatic liquidation distribution
- B. A DICGC claim
- C. CIRP and the section 14 moratorium
- D. A Basel capital surcharge

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Automatic liquidation distribution does not satisfy the question's governing distinction. The tested rule instead is: Admission starts the collective process and the statutory calm period for specified actions against the corporate debtor.
- **B - Incorrect:** A DICGC claim does not satisfy the question's governing distinction. The tested rule instead is: Admission starts the collective process and the statutory calm period for specified actions against the corporate debtor.
- **C - Correct:** Admission starts the collective process and the statutory calm period for specified actions against the corporate debtor.
- **D - Incorrect:** A Basel capital surcharge does not satisfy the question's governing distinction. The tested rule instead is: Admission starts the collective process and the statutory calm period for specified actions against the corporate debtor.

Examiner trap 27: Admission is not approval of a resolution plan.

MCQ 28

Which sequence correctly traces a corporate insolvency resolution process after a valid application is admitted?

- A. DICGC payout -> Basel surcharge -> loan waiver
- B. SARFAESI notice -> automatic plan approval -> PMJDY transfer
- C. Liquidation distribution -> admission -> moratorium
- D. Moratorium -> insolvency professional and CoC process -> plan vote -> NCLT approval or liquidation route

Answer: D.

Option-specific explanations:

- **A - Incorrect:** DICGC payout -> Basel surcharge -> loan waiver does not satisfy the question's governing distinction. The tested rule instead is: NCLT admission triggers the section 14 moratorium and collective process; the CoC considers plans before tribunal approval or a liquidation route.
- **B - Incorrect:** SARFAESI notice -> automatic plan approval -> PMJDY transfer does not satisfy the question's governing distinction. The tested rule instead is: NCLT admission triggers the section 14 moratorium and collective process; the CoC considers plans before tribunal approval or a liquidation route.
- **C - Incorrect:** Liquidation distribution -> admission -> moratorium does not satisfy the question's governing distinction. The tested rule instead is: NCLT admission triggers the section 14 moratorium and collective process; the CoC considers plans before tribunal approval or a liquidation route.
- **D - Correct:** NCLT admission triggers the section 14 moratorium and collective process; the CoC considers plans before tribunal approval or a liquidation route.

Examiner trap 28: Admission begins CIRP; it neither approves a plan nor distributes liquidation proceeds.

MCQ 29

Which statement best describes the NARCL-IDRCL structure?

- A. NARCL acquires stressed assets and IDRCL supports their resolution
- B. IDRCL insures retail deposits
- C. NARCL is the insolvency tribunal
- D. Both are Payments Banks

Answer: A.

Option-specific explanations:

- **A - Correct:** The two-entity architecture separates asset ownership/acquisition from specialised resolution management.
- **B - Incorrect:** IDRCL insures retail deposits does not satisfy the question's governing distinction. The tested rule instead is: The two-entity architecture separates asset ownership/acquisition from specialised resolution management.
- **C - Incorrect:** NARCL is the insolvency tribunal does not satisfy the question's governing distinction. The tested rule instead is: The two-entity architecture separates asset ownership/acquisition from specialised resolution management.
- **D - Incorrect:** Both are Payments Banks does not satisfy the question's governing distinction. The tested rule instead is: The two-entity architecture separates asset ownership/acquisition from specialised resolution management.

Examiner trap 29: A bad-bank transfer relocates the asset but does not erase its economic loss.

MCQ 30

Under RBI's 30 July 2024 Directions, wilful default requires:

- A. Any NPA lasting more than 90 days
- B. Intentional, deliberate and calculated conduct meeting a specified capacity or misuse test
- C. Every failed business project
- D. A criminal conviction before bank review

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Any NPA lasting more than 90 days does not satisfy the question's governing distinction. The tested rule instead is: The classification focuses on capacity-based non-payment, diversion, siphoning or unauthorised disposal and uses prescribed due process.
- **B - Correct:** The classification focuses on capacity-based non-payment, diversion, siphoning or unauthorised disposal and uses prescribed due process.
- **C - Incorrect:** Every failed business project does not satisfy the question's governing distinction. The tested rule instead is: The classification focuses on capacity-based non-payment, diversion, siphoning or unauthorised disposal and uses prescribed due process.
- **D - Incorrect:** A criminal conviction before bank review does not satisfy the question's governing distinction. The tested rule instead is: The classification focuses on capacity-based non-payment, diversion, siphoning or unauthorised disposal and uses prescribed due process.

Examiner trap 30: Wilful default and fraud are separate classifications even where facts overlap.

MCQ 31

Consider the following statements about a covered Basic Savings Bank Deposit account under RBI's amendment effective 1 April 2026:

1. No minimum balance is required for the prescribed basic facilities.
2. At least four withdrawals a month are free under the listed basic service.
3. Every holder receives an automatic Rs 10,000 loan.

Which of the statements given above are correct?

- A. 1 only
- B. 2 and 3 only
- C. 1 and 2 only
- D. 1, 2 and 3

Answer: C.

Option-specific explanations:

- **A - Incorrect:** 1 only does not satisfy the question's governing distinction. The tested rule instead is: The dated BSBD framework provides no-minimum-balance basic service and at least four free withdrawals a month; it does not create an automatic loan entitlement.
- **B - Incorrect:** 2 and 3 only does not satisfy the question's governing distinction. The tested rule instead is: The dated BSBD framework provides no-minimum-balance basic service and at least four free withdrawals a month; it does not create an automatic loan entitlement.
- **C - Correct:** The dated BSBD framework provides no-minimum-balance basic service and at least four free withdrawals a month; it does not create an automatic loan entitlement.
- **D - Incorrect:** 1, 2 and 3 does not satisfy the question's governing distinction. The tested rule instead is: The dated BSBD framework provides no-minimum-balance basic service and at least four free withdrawals a month; it does not create an automatic loan entitlement.

Examiner trap 31: BSBD and PMJDY overlap in inclusion purpose but are not identical labels.

MCQ 32

Which chain best represents durable financial inclusion?

- A. Account opening -> automatic income growth
- B. Credit target -> guaranteed repayment
- C. Digitisation -> elimination of fraud
- D. Access -> active usage -> quality and protection -> welfare improvement

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Account opening -> automatic income growth does not satisfy the question's governing distinction. The tested rule instead is: Inclusion becomes meaningful when reachable services are used safely, suitably and repeatedly.
- **B - Incorrect:** Credit target -> guaranteed repayment does not satisfy the question's governing distinction. The tested rule instead is: Inclusion becomes meaningful when reachable services are used safely, suitably and repeatedly.
- **C - Incorrect:** Digitisation -> elimination of fraud does not satisfy the question's governing distinction. The tested rule instead is: Inclusion becomes meaningful when reachable services are used safely, suitably and repeatedly.
- **D - Correct:** Inclusion becomes meaningful when reachable services are used safely, suitably and repeatedly.

Examiner trap 32: Access counts alone can coexist with dormancy, exclusion or over-indebtedness.

PYQS AND ANSWER PRACTICE

VERIFIED OBJECTIVE PYQ ROUTES

The audited repository ledger routes five objective demands to Topic 6. Their exact option text and final official keys are not locally verified, so no answer letter is inferred.

PYQ 1 - UPSC Prelims 2018, GS Paper I, Question 16

Verified demand: Capital Adequacy Ratio, who sets it and why risk-weighted assets matter.

Answer withheld pending official UPSC key.

Examiner-ready solution: CRAR is eligible regulatory capital divided by risk-weighted assets. The Basel Committee develops international standards; RBI applies India-specific requirements to its regulated perimeter. The ratio does not use total deposits or a flat total-asset denominator. A higher ratio may result from more capital, lower RWA or both, so the direction of causation needs qualification.

PYQ 2 - UPSC Prelims 2019, GS Paper I, Question 72

Verified demand: Purpose of an Inter-Creditor Agreement in stressed-asset resolution.

Answer withheld pending official UPSC key.

Examiner-ready solution: An ICA coordinates lenders to the same borrower and reduces holdout/free-rider problems. Under RBI's current Commercial Banks Resolution of Stressed Assets Directions, 2025, updated 1 July 2026, a decision supported by signatories representing 75 per cent by value and 60 per cent by number binds signatories, subject to dissenting-lender protection. An ICA is contractual and must not be confused with the IBC CoC or NCLT.

PYQ 3 - UPSC Prelims 2020, GS Paper I, Question 62

Verified demand: Interest Coverage Ratio and its use in assessing company debt-servicing capacity.

Answer withheld pending official UPSC key.

Examiner-ready solution: ICR compares earnings available for interest with interest expense. A lower ratio indicates weaker ability to service interest from operations; below one generally means the chosen earnings measure is insufficient for the interest bill. It is an analytical warning indicator, not the legal definition of an NPA, and accounting definitions must be checked before comparing firms.

PYQ 4 - UPSC Prelims 2021, GS Paper I, Question 14

Verified demand: WaterCredit as a microfinance-linked model for water and sanitation access.

Answer withheld pending official UPSC key.

Examiner-ready solution: WaterCredit uses repayable microfinance or partner-finance mechanisms to help households obtain water and sanitation assets. It is not a Government of India bank category, a deposit-insurance scheme or a general loan waiver. The wider lesson is that inclusion can finance a specific welfare-enhancing asset while still requiring affordability and consumer safeguards.

PYQ 5 - UPSC Prelims 2023, GS Paper I, Question 74

Verified demand: Self-Help Group origins, structure, savings and bank-linkage characteristics.

Answer withheld pending official UPSC key.

Examiner-ready solution: An SHG is a voluntary small group built around regular savings, internal lending, meetings, records and peer discipline. NABARD's SHG-Bank Linkage pilot began in 1992. Banks provide the regulated account and credit relationship; the SHG does not become a bank. Statements claiming universal government formation, identical membership rules or automatic subsidy should therefore be rejected.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish overdue, out-of-order and NPA classification. Answer in 150 words.

Demand decoding

Separate the due-date concept from product-specific recognition tests, then close with the borrower-wise and security-value qualifications.

Answer plan and validation

- **Plan:** overdue -> term-loan/CC-OD/agriculture tests -> borrower-wise rule -> qualification.
- **Validated native-body count:** 143 alphanumeric words.

Model answer

RBI's Commercial Banks IRACP Directions, 2025, updated 1 July 2026, define overdue as any amount unpaid on its contractual due date. That status is an early clock, not itself the universal NPA test.

For a term loan, principal or interest remaining overdue for more than 90 days ordinarily makes the asset non-performing. A cash-credit or overdraft account instead becomes out of order when it remains continuously above the sanctioned limit or drawing power for 90 days, has no credits for 90 days, or its credits cannot cover interest debited during the previous 90 days. Bills purchased or discounted use the more-than-90-day overdue test; agricultural advances use crop-season tests.

Thus, product design determines recognition. The classification is generally borrower-wise within a bank and cannot be postponed merely because collateral is valuable. Exact facility, due date and regulatory perimeter must precede any conclusion about stress.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why are provisioning, write-off and waiver not interchangeable responses to an NPA? Answer in 150 words.

Demand decoding

Compare the accounting entry, continuing recovery right and legal discharge consequence; explain why reported NPA reduction differs from recovery.

Answer plan and validation

- **Plan:** provision -> technical write-off -> waiver -> reporting consequences -> governance conclusion.
- **Validated native-body count:** 141 alphanumeric words.

Model answer

Provisioning recognises expected loss by charging bank income while the loan remains on the balance sheet. RBI's IRACP Directions updated 1 July 2026 link the provision to asset class, ageing, security and realisable value. It therefore protects capital credibility before final recovery is known.

A technical write-off removes all or part of the NPA from bank-level accounting without waiving the claim at borrower level. Recovery action may continue, so a lower reported GNPA stock after write-off is not equivalent to cash collection. A waiver, by contrast, relinquishes the borrower's liability to the stated extent and may involve a government or lender policy decision.

The distinction matters for fiscal cost, borrower discipline and bank performance. Sound analysis should report gross NPAs, provisions, net NPAs, write-offs, recoveries and loan growth together. None of the three devices substitutes for appraisal, governance or viable resolution.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain how Basel III capital, leverage and liquidity standards jointly strengthen Indian banks. Answer in 250 words.

Demand decoding

Organise the answer by loss absorption, non-risk-weighted leverage and two liquidity horizons; state RBI values with dates and perimeter.

Answer plan and validation

- **Plan:** RWA capital -> capital quality/buffer -> leverage backstop -> LCR/NSFR -> residual risks.
- **Validated native-body count:** 214 alphanumeric words.

Model answer

Basel regulation addresses different failure channels rather than relying on one ratio. Risk-weighted capital absorbs unexpected credit, market and operational losses. Under RBI's Master Circular dated 1 April 2025 for covered scheduled commercial banks, standalone minima are CET1 5.5 per cent, Tier 1 capital 7 per cent and total CRAR 9 per cent of RWA. The 2.5 per cent Capital Conservation Buffer, met with CET1, raises effective CET1 to 8 per cent and total capital to 11.5 per cent.

Risk weights can understate exposures or invite optimisation. RBI's leverage-ratio rule, effective from the quarter beginning 1 October 2019, therefore provides a non-risk-weighted backstop: 4 per cent for domestic systemically important banks and 3.5 per cent for other covered banks.

Liquidity rules address timing rather than solvency. LCR of at least 100 per cent, fully effective from 1 January 2019, requires high-quality liquid assets against 30-day stressed net outflows. NSFR of at least 100 per cent from 1 October 2021 requires stable funding against one-year funding needs.

Together these rules improve loss absorption, constrain leverage and reduce run or rollover risk. Yet ratios remain model- and perimeter-dependent. Concentration, governance, cyber risk, hidden NPAs and stress correlations require supervision and scenario testing. Strong buffers should support disciplined intermediation, not replace sound underwriting.

ORIGINAL MAINS 4 - 15 MARKS

Question: Compare RBI's prudential resolution framework, SARFAESI, DRTs and IBC as responses to stressed assets. Answer in 250 words.

Demand decoding

Compare trigger, decision-maker, remedy and best-use case across consensual resolution, secured enforcement, tribunal recovery and collective insolvency.

Answer plan and validation

- **Plan:** RBI framework -> SARFAESI -> DRT -> IBC -> comparative choice and implementation limit.
- **Validated native-body count:** 209 alphanumeric words.

Model answer

India's stressed-asset architecture separates consensual repair, claim enforcement and collective insolvency. RBI's Commercial Banks Resolution of Stressed Assets Directions, 2025, updated 1 July 2026, require a 30-day review after default or a credit event. A multi-lender plan uses an ICA; 75 per cent by value and 60 per cent by number bind signatories. Classification continues during negotiation, and delayed implementation attracts additional provisioning.

SARFAESI, 2002 enables an eligible secured creditor, after section 13(2)'s 60-day notice, to use section 13(4) enforcement measures without first obtaining an ordinary civil decree. It is effective for clear, valuable security but does not coordinate all claims against a complex going concern.

The Recovery of Debts and Bankruptcy Act, 1993 establishes DRTs for adjudication and recovery of bank and financial-institution debt. DRT is a specialised recovery forum, not a corporate rescue committee.

IBC, 2016 begins a collective CIRP on NCLT admission, imposes a bounded moratorium and places commercial choice with the CoC. A compliant plan needs at least 66 per cent voting share and NCLT approval; otherwise statutory

liquidation routes may follow.

No mechanism is universally superior. The correct choice depends on viability, security, creditor dispersion, information, time and going-concern value. Capacity and due process determine whether formal speed becomes actual resolution.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically evaluate the NARCL-IDRCL model as part of India's bad-loan resolution architecture. Answer in 250 words.

Demand decoding

Explain the two-entity acquisition-resolution design, financing mix and guarantee; then test valuation, incentives, governance and realised recovery.

Answer plan and validation

- **Plan:** institutional design -> claimed gains -> retained risks -> performance tests -> complementary role.
- **Validated native-body count:** 204 alphanumeric words.

Model answer

NARCL and IDRCL separate acquisition from resolution management. Under the architecture announced in 2021, NARCL, an RBI-registered asset reconstruction company, acquires identified legacy stressed assets. Consideration follows a 15:85 cash-to-Security-Receipt structure. IDRCL supplies resolution expertise under the agreed arrangement, while a Government guarantee of up to Rs 30,600 crore supports eligible SR shortfalls within the specified five-year design. DFS's Annual Report 2024-25 records the mechanism as operational.

The model offers four gains. Aggregation can solve coordination problems across lenders. Specialist teams can focus on restructuring, enforcement or sale. Banks receive some cash and can redirect management attention to new credit. Common ownership among public-sector sellers can accelerate decisions.

However, a transfer is not recovery. An inflated acquisition price postpones loss recognition; a low price can generate immediate bank losses. The 85 per cent SR component leaves selling banks exposed to realisation. A guarantee may create moral hazard if due diligence weakens. IDRCL-NARCL role clarity, professional independence, information quality and a deep buyer market are therefore decisive.

NARCL should be judged by transparent valuation, time to resolution, net present recovery, SR redemption and governance-not gross assets transferred. It complements, rather than replaces, IBC, SARFAESI, DRTs, ARCs, bank provisioning and better credit appraisal.

ORIGINAL MAINS 6 - 20 MARKS

Question: Financial inclusion and financial stability are complements only under responsible credit design. Discuss. Answer in 250 words.

Demand decoding

Balance access, usage and quality gains against underwriting, over-indebtedness, conduct and digital risks; finish with responsible-credit safeguards.

Answer plan and validation

- **Plan:** access channels -> stability gains -> risk channels -> consumer safeguards -> qualified verdict.
- **Validated native-body count:** 214 alphanumeric words.

Model answer

Financial inclusion lowers transaction costs, mobilises savings, improves payment resilience and connects households and small firms to formal credit. PMJDY, launched on 28 August 2014, uses basic accounts, RuPay, transfers and Business Correspondents. RBI's BSBD amendment dated 4 December 2025, effective 1 April 2026, strengthens zero-minimum-balance service. Priority-sector rules, MUDRA, SHG-Bank Linkage and JLGs address sector, collateral and information gaps.

These measures can strengthen stability. Broader deposits diversify funding; digital records can improve underwriting; regular saving and insurance reduce household vulnerability. RBI's FI-Index-Access, Usage and Quality-correctly

treats opening an account as only the first stage.

Yet poorly governed inclusion can manufacture stress. Target-chasing may weaken appraisal; guarantees can reduce screening; multiple micro-loans can create over-indebtedness; group pressure can become coercive; digital journeys can enable fraud, opaque pricing, consent abuse and exclusion through failed authentication. Post-crisis risk aversion can create the opposite error by denying viable small borrowers.

Responsible inclusion therefore requires cash-flow appraisal, transparent annualised cost, suitable products, credit-information safeguards, bank responsibility for agents, assisted alternatives, fraud response and accessible grievance redress. Early-warning systems, honest NPA recognition, proportional capital and fair resolution complete the chain.

The aim is not riskless lending. It is a system that permits productive risk, prices it transparently, absorbs losses and preserves access without socialising every private failure.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

1. Expected loss, unexpected loss and capital

Provisioning and capital cover different layers. Provisions recognise expected credit loss associated with the loan book; regulatory capital absorbs unexpected losses and protects solvency. If recognition is delayed, stated profit and capital can both be overstated. The analytical sequence is therefore classification -> provision -> retained earnings/capital -> lending capacity.

2. Stock-flow and denominator effects

GNPA is a stock measured relative to gross advances. Its ratio may fall because bad loans are recovered, upgraded, sold or written off, or because advances grow faster. Credit-cost and slippage flows reveal new stress; recovery and write-off flows explain exit. A single ratio cannot identify the mechanism.

3. Macroprudential interaction

Microprudential regulation asks whether one bank can absorb loss. Macroprudential regulation asks whether correlated lending, common collateral, fire sales and procyclical deleveraging amplify stress. CCyB, stress tests, sectoral risk weights and D-SIB buffers address different system dimensions.

4. Resolution value and distribution

Recovery percentage must be assessed against liquidation value, admitted claims, time, legal cost and counterfactual enterprise value. A haircut can preserve more going-concern value than piecemeal liquidation, while a delayed plan with nominally high recovery can have weak present value. Workers, operational creditors, secured lenders and public finances can bear different consequences.

5. Inclusion measurement

Access is availability, Usage is actual engagement, and Quality includes suitability, literacy and protection. Aggregate improvement can conceal regional, gender, disability and digital divides. Distributional analysis should therefore combine the FI-Index architecture with disaggregated operational evidence rather than one headline number.

CONSOLIDATED REGISTER NOTES

1. Recognition and classification

- RBI Commercial Banks IRACP Directions, 2025, updated 1 July 2026: overdue means unpaid on due date.
- Term loan: interest or principal overdue for more than 90 days.
- CC/OD out of order: continuously above limit/drawing power for 90 days; or no credits for 90 days; or credits cannot cover interest debited during the previous 90 days.
- Bills purchased/discounted: overdue for more than 90 days.
- Agriculture: two crop seasons for short-duration crops; one crop season for long-duration crops.
- Classification is generally borrower-wise within a bank. Security does not ordinarily postpone recognition.
- Substandard: NPA for up to twelve months. Doubtful: remained substandard for twelve months. Loss: identified uncollectible although not wholly written off.

2. GNPA, NNPA and loss absorption

- GNPA = recognised gross non-performing exposure.
- NNPA = residual after prescribed provisions and adjustments; use the official formula, not GNPA minus every provision.
- PCR = provisions / GNPA.
- General NPA provisions under the directions updated 1 July 2026:

Category	General provision
Substandard, secured/general	15%
Substandard, unsecured	25%
Doubtful unsecured portion	100%
Doubtful secured portion up to 1 year	25%
Doubtful secured portion 1-3 years	40%
Doubtful secured portion over 3 years	100%
Loss asset retained in books	100%

- Provision = charge against income. Technical write-off = bank-level accounting removal without waiver. Waiver = relinquishment of claim to the stated extent.
- Falling GNPA ratio may reflect recovery, upgrade, sale, write-off or denominator growth.

3. Stress, restructuring and governance

- Causes: weak appraisal, project delay, leverage, macro shock, fraud/diversion, connected lending and poor monitoring.
- ICR = earnings available for interest / interest expense. It is a warning indicator, not NPA law.
- Twin Balance Sheet: Economic Survey 2016-17 diagnosis of stressed corporates and banks.
- Restructuring grants concessions because of financial difficulty. It does not automatically preserve standard classification.
- Evergreening hides old stress with fresh accommodation; temporary forbearance must remain bounded.
- RBI Wilful Defaulters Directions dated 30 July 2024: deliberate capacity-based non-payment, diversion, siphoning, unauthorised disposal or specified commitment failure; Rs 25 lakh outstanding threshold.
- RBI Fraud Directions dated 15 July 2024: separate fraud-risk process, EWS/RFA, show cause, at least 21 days to reply and reasoned order.

4. Basel and capital

Layer	Meaning
CET1	highest-quality going-concern common equity
AT1	perpetual subordinated going-concern instruments
Tier 2	gone-concern/subordinated loss absorption
RWA	credit + market + operational risk-weighted exposure
CRAR	eligible capital / RWA x 100

- Basel I: initial credit-risk capital floor. Basel II: Pillars 1, 2 and 3. Basel III: stronger capital quality, buffers, leverage and liquidity.
- RBI Basel III Master Circular dated 1 April 2025, covered SCBs: CET1 5.5%; Tier 1 7%; total CRAR 9%, before buffers.
- CCB 2.5% CET1 -> effective CET1 8% and total capital 11.5%.
- CCyB framework up to 2.5%; not activated in the cited 1 April 2025 circular. D-SIB surcharge is additional and bank-specific.
- Perimeter excludes SFBs, Payments Banks and RRBs from that circular; use category-specific rules.

5. Leverage and liquidity

- Leverage Ratio = Tier 1 / exposure measure. RBI circular 28 June 2019, effective 1 October 2019: 4% for D-SIBs, 3.5% for other covered banks.
- LCR = HQLA / 30-day stressed net cash outflows; minimum 100% from 1 January 2019.
- NSFR = available stable funding / required stable funding; minimum 100% from 1 October 2021.
- Capital addresses solvency loss; liquidity addresses timing. Each ratio has a separate denominator and horizon.

6. Supervision and out-of-court resolution

- SMA-0: up to 30 days; SMA-1: more than 30 to 60; SMA-2: more than 60 to 90 under current commercial-bank resolution directions.
- AQR reveals classification divergence; it does not create the underlying loss.
- PCA dated 2 November 2021/effective 1 January 2022: capital, NNPA and leverage; NNPA bands begin at 6%, 9% and 12%; preventive, not liquidation.
- Commercial Banks Resolution of Stressed Assets Directions, 2025, updated 1 July 2026:
- Review Period: 30 days.
- ICA: 75% by value + 60% by number of signatories.
- Independent credit evaluation from Rs 100 crore; two evaluations from Rs 500 crore; RP4 or better.
- Covered-account RP clock: 180 days from end of Review Period.
- Delay: 20% additional provision at 180-day point; another 15% at 365 days from Review Period commencement.
- Asset classification continues while a plan is considered.

7. Recovery and insolvency institutions

Route	Institution/core purpose	Boundary
SARFAESI Act, 2002	secured creditor enforces security; s.13(2) gives 60-day notice	not complete insolvency
RDB Act, 1993	DRT adjudication and recovery; DRAT appeal	not CoC/NCLT
ARC	acquires and resolves financial assets; may issue SRs	transfer does not erase loss
IBC, 2016	collective CIRP before NCLT	admission is not resolution

Route	Institution/core purpose	Boundary
IBBI	regulates insolvency ecosystem	does not decide individual CIRP

- IBC section 14: bounded moratorium after admission.
- CoC: financial-creditor voting by debt share; plan needs at least 66% under section 30(4); NCLT approval under section 31.
- Liquidation follows statutory triggers and section 53 waterfall. Haircut must be judged against time and liquidation/going-concern value.
- Personal-guarantor provisions became operational 1 December 2019; section 60 aligns forum with NCLT. Corporate and guarantor moratoria are not identical.

8. NARCL-IDRCL and asset transfer

- Architecture announced in 2021; DFS Annual Report 2024-25 records it as operational.
- NARCL = RBI-registered ARC and acquirer; IDRCL = resolution manager.
- Consideration: 15% cash + 85% Security Receipts.
- Government guarantee envelope up to Rs 30,600 crore supports eligible SR shortfall within the specified five-year design.
- Judge by transfer valuation, resolution time, net present recovery, SR redemption and governance. Do not treat acquisition as recovery.

9. Financial inclusion

- PMJDY launched 28 August 2014: basic account/payments/DBT platform; eligible overdraft up to Rs 10,000 and dated RuPay insurance conditions.
- RBI BSBD amendment dated 4 December 2025, effective 1 April 2026: no minimum balance, listed free facilities and at least four free withdrawals; specified digital payments excluded from that count.
- BC = bank agent; principal bank remains responsible.
- PSL Directions effective 1 April 2025: most domestic commercial banks 40% of ANBC/CEOB; SFB 60% from FY 2025-26 under 20 June 2025 circular.
- PMMY: Shishu up to Rs 50,000; Kishore above Rs 50,000 to Rs 5 lakh; Tarun above Rs 5 lakh to Rs 10 lakh; Tarun Plus above Rs 10 lakh to Rs 20 lakh for eligible successful Tarun borrowers from 24 October 2024.
- NABARD SHG-Bank Linkage pilot began in 1992. SHG uses group savings/credit; JLG uses mutual liability. Neither is a bank.
- RBI FI-Index release dated 22 July 2025: Access, Usage and Quality.

10. Final answer spine

1. Define the asset, institution and dated perimeter.
2. Trace overdue/default -> recognition -> provision -> capital/liquidity effect.
3. Choose recovery, restructuring, transfer or collective insolvency by viability and security.
4. Assign RBI, DRT, NCLT, IBBI, ARC, NARCL/IDRCL and DICGC correctly.
5. Evaluate value, time, distribution, moral hazard and governance.
6. Link inclusion to usage, suitability and consumer protection.
7. Conclude: honest recognition plus credible loss absorption and resolution sustains responsible inclusion.

COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM

ASCII MASTER FLOW - PANEL 1/12: RECOGNITION CLOCK

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| DUE DATE -> overdue immediately -> product-specific prudential clock |
| Term loan >90 days | bills >90 days | agriculture crop-season tests |
| CC/OD out of order: excess/no credits/insufficient interest credits, 90 days |
| Recognition is borrower-wise within a bank; security normally does not defer |
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ASCII MASTER FLOW - PANEL 2/12: CLASSIFICATION AND LOSS ABSORPTION

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| STANDARD -> SUBSTANDARD <=12 months NPA -> DOUBTFUL -> LOSS |
| GNPA -> less prescribed provisions/adjustments -> NNPA |
| Provision charges profit | write-off changes books | waiver ends claim |
| Recognition reveals loss; it does not create the borrower's cash-flow shock |
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ASCII MASTER FLOW - PANEL 3/12: NPA CAUSAL LOOP

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| appraisal/project delay/shock/governance -> weak cash flow -> default |
| -> NPA -> income reversal + provision -> profit/capital pressure |
| -> weak fresh credit -> investment slowdown -> borrower weakness |
| ICR signals servicing capacity; Twin Balance Sheet is a 2016-17 diagnosis |
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ASCII MASTER FLOW - PANEL 4/12: RESTRUCTURING BOUNDARY

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| Viable concession + transparent recognition -> RESTRUCTURING |
| Temporary exceptional relief -> FORBEARANCE |
| Fresh finance used only to hide old dues -> EVERGREENING |
| Current RBI rule: classification continues while resolution is considered |
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ASCII MASTER FLOW - PANEL 5/12: BASEL CAPITAL

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| Basel I -> credit risk | Basel II -> Pillars 1/2/3 | Basel III -> resilience |
| CRAR = eligible capital / RWA; RWA covers credit, market, operational risk |
| Capital quality: CET1 -> AT1 -> Tier 2 |
| RBI 01-04-2025: 5.5 CET1 | 7 Tier1 | 9 CRAR | +2.5 CCB (covered SCBs) |
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ASCII MASTER FLOW - PANEL 6/12: LEVERAGE AND LIQUIDITY

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| Leverage: Tier1/exposure -> 4% D-SIB; 3.5% others from 01-10-2019 |
| LCR: HQLA/30-day stressed net outflow >=100% from 01-01-2019 |
| NSFR: available/required stable funding >=100% from 01-10-2021 |
| Solvency and liquidity overlap in stress but are not the same condition |
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ASCII MASTER FLOW - PANEL 7/12: EARLY SUPERVISION AND PCA

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| SMA-0 <=30 | SMA-1 >30-60 | SMA-2 >60-90 -> NPA trigger |
| AQR -> classification check | CRILC -> shared large-credit information |
| PCA 02-11-2021/effective 01-01-2022: capital + NNPA + leverage |
| PCA restricts and repairs; it is not liquidation or DICGC payout |
+-----+
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ASCII MASTER FLOW - PANEL 8/12: RBI RESOLUTION ROUTE

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+-----+
| Default/credit event -> 30-day Review Period -> documented strategy |
| Multi-lender ICA -> 75% value + 60% number binds signatories |
| ICE from Rs100 cr; two from Rs500 cr; RP4+; 180-day implementation clock |
| Delay -> extra provision; negotiation never freezes asset classification |
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ASCII MASTER FLOW - PANEL 9/12: RECOVERY TOOL MAP

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| SARFAESI s13(2): 60-day notice -> s13(4) secured-asset measures -> DRT remedy |
| RDB Act 1993 -> DRT adjudication/recovery -> DRAT appeal |
| ARC -> acquires financial asset -> reconstruction/recovery -> Security Receipt |
| Recovery of one claim is not collective insolvency or guaranteed value |
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ASCII MASTER FLOW - PANEL 10/12: IBC CONTROL SHIFT

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| NCLT admission -> section 14 moratorium -> IP -> claims -> CoC |
| CoC plan approval >=66% voting share -> NCLT legality check -> binding plan |
| No plan/statutory trigger -> liquidation -> section 53 waterfall |
| IBBI regulates ecosystem; personal-guarantor route operates from 01-12-2019 |
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ASCII MASTER FLOW - PANEL 11/12: NARCL AND CONDUCT

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| NARCL acquires -> 15% cash + 85% SR -> IDRCL manages resolution |
| Guarantee supports eligible SR shortfall; asset transfer does not erase loss |
| NPA = asset status | wilful default = deliberate conduct | fraud = deception |
| RBI Directions: fraud 15-07-2024 | wilful default 30-07-2024 |
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ASCII MASTER FLOW - PANEL 12/12: RESPONSIBLE INCLUSION

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| PMJDY 28-08-2014 -> BSBD -> payments/DBT -> BC last mile |
| PSL -> MUDRA -> SHG/JLG -> suitable productive credit |
| FI-Index: Access + Usage + Quality; account count alone is incomplete |
| Answer: recognise -> absorb -> resolve -> govern -> include safely |
+-----+

```